SUPERIOR COURT, STATE OF CALIFORNIA
COUNTY OF SANTA CLARA

Department 12
Honorable Nahal Iravani-Sani, Presiding

Courtroom Clerk, Ryan Nguyen
191 North First Street, San Jose, CA 95113
Telephone: (408) 882-2230

DATE: 08/14/2026 TIME: 9:00 A.M. and 9:01 A.M.

Welcome to Department 12. The Court's tentative rulings for the Law & Motion Calendar are below.

TO CONTEST THE RULING: Before 4:00 p.m. ON THE DAY PRIOR TO THE HEARING, YOU MUST NOTIFY:

(1) The Court - by calling (408) 808-6856 and
(2) Opposing side - by phone or email that you plan to appear and contest the ruling.

The Court will not hear argument and the tentative ruling will be adopted if these notifications are not made. (Cal. Rule of Court 3.1308(a)(1); Civil Local Rule 8.D.)

Please indicate the specific issue being contested when calling the Court and counsel

IN-PERSON APPEARANCES: Department 12 is a fully open courtroom conducting in-person hearings on the days it has scheduled matters. The Court strongly encourages in-person appearances for any **contested** law-and-motion matter. If appearing remotely, **VIDEO IS REQUIRED**. Audio only appearances are not permitted absent exceptional circumstances. (Civil Local Rule 5.B.)

REMOTE APPEARANCES: Remote appearance is governed by Civil Local Rule 5 and General Local Rule 9. Department 12 uses UDC as its remote platform.
The Court encourages in-person appearance, but if appearing remotely, **VIDEO IS REQUIRED**. Audio only appearances are not allowed absent exceptional circumstances. (Civil Local Rule 5.B.)

TELEPHONIC APPEARANCE IS PROHIBITED, unless the Court grants an exception. (Civil Local Rule 5.A.) "CourtCall" is no longer available.

RECORDING IS PROHIBITED: State and local court rules prohibit recording court proceedings without a court order. This prohibition applies to both in-person and remote appearances.

COURT REPORTERS ARE NOT PROVIDED: If any party wishes to have a court reporter, the appropriate forms and process may be found on the court's website
https://www.scscourt.org/general_info/court_reporters.shtml.

SCHEDULING MOTION HEARINGS: Please reserve your next hearing date using Court Schedule—an online scheduling tool on the Santa Clara County court website.
https://reservations.scscourt.org or call 408-882-2430 between 8:30 a.m. and 12:30 p.m. (Mon.-Fri.) You must then file your motion papers no more than five court days after reserving the hearing date, or the date will be released to other cases.

FINAL ORDERS: The prevailing party shall prepare the order unless otherwise ordered. (See California Rule of Court 3.1312.) **Please Note:** Any proposed orders must be submitted with the Judicial Council Form EFS-020 Proposed Order (Cover Sheet). Please include the date, time, department and line number.

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SUPERIOR COURT, STATE OF CALIFORNIA
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DATE: 08/14/2026 TIME: 9:00 A.M. and 9:01 A.M.

LINE #	CASE #	CASE TITLE	RULING
LINE 1	21CV392455	Advoque Safeguard, LLC et al. v. 305 Consulting LLC et al	MOTION for SUMMARY JUDGMENT/ADJUDICATION Please Ctrl Click (or scroll down to) Line 1
LINE 2	||	||	MOTION FOR JUDGMENT ON THE PLEADINGS Please Ctrl Click (or scroll down to) Line 2
LINE 3	||	||	Please Ctrl Click (or scroll down to) Line 3
LINE 4	22CV408831	Thomas White v. Gabriel, Wall, Thompson, Harriss	MOTION FOR ATTORNEY FEES Please Ctrl Click (or scroll down to) Line 4
LINE 5	24CV439815	Main St. Enterprise, Inc. v. FCA US LLC	MOTION FOR ATTORNEY FEES Please Ctrl Click (or scroll down to) Line 5
LINE 6	24CV441663	RS LENDING, INC. et al. v. Lamb Partners LLC et al.	MOTION FOR SUMMARY JUDGMENT/ADJUDICATION Please Ctrl Click (or scroll down to) Line 6
LINE 7	24CV443748	Helgah Yeff v. Alexander Grinberg, M.D et al.	DEMURRER & MOTION TO STRIKE Please Ctrl Click (or scroll down to) Line 7 – 8
LINE 8	||	||	||
LINE 9		Chamberlain v. Chamberlain	MOTION FOR APPOINTMENT OF DISCOVERY REFEREE Moot and off calendar
LINE 10	21CV392455	Advoque Safeguard, LLC et al. v. 305 Consulting LLC et al	Please Ctrl Click (or scroll down to) Line 10
9:01			

SUPERIOR COURT, STATE OF CALIFORNIA
COUNTY OF SANTA CLARA

Department 12
Honorable Nahal Iravani-Sani, Presiding

Courtroom Clerk, Ryan Nguyen
191 North First Street, San Jose, CA 95113
Telephone: (408) 882-2230

DATE: 08/14/2026 TIME: 9:00 A.M. and 9:01 A.M.

LINE 1	26CV489443	Athelas Inc. v. Ashraf Medical Group	MOTION TO WITHDRAW AS ATTORNEY Good cause appearing, the unopposed motion is GRANTED. Yuri Voronin, Wade Litigation APC is relieved as counsel for Defendant Ashraf Medical Group, PLLC. Plaintiff's requested protective conditions are GRANTED. Within 7 days of the hearing, Movant shall file a new proposed final order, including the protective conditions, and that Defendant must appear at the Further Case Management Conference set for December 2, 2026 at 10:00 a.m. in Department 12.
LINE 2	24CV431871	Pedro Gatica Ortiz v. Roselia Tinoco Patino	ORDER OF EXAMINATION

- oo0oo -

Calendar Line 1
Calendar line 1
Case Name: *Advoque Safeguard, LLC et al. v. Sanctuary Systems, LLC et al*
Case No.: 21CV392455

Defendant American Melt Blown & Filtration, Inc.'s motion for summary judgment, or in the alternative, summary adjudication.

Alleged Facts[1]

Plaintiffs Advoque Safeguard ("ASG") and Ciasom LLC ("Ciasom", collectively with ASG, "Plaintiffs") manufactured N95 respirators during the COVID-19 pandemic and sued various entities and individuals that were involved in supplying Plaintiffs with mask filtration materials. These entities and individuals include, among others, defendant American Melt Blown & Filtration, Inc. ("AMBF").

The first amended complaint ("FAC") alleges the following causes of action against Defendant: (1) negligence; (2) conversion; (3) intentional interference with contractual relations; (4) intentional interference with prospective economic relations; (5) negligent interference with prospective economic relations; (6) conspiracy; and (7) unfair business practices. Specifically, the FAC alleges AMBF wrongfully took possession of at least $850,000 in cash deposits and at least $3.2 million worth of nonconforming materials, which rightfully belong to Plaintiffs. (FAC, ¶ 32.) AMBF received cash deposits to manufacture materials that would be used in Plaintiffs' N95 respirators but have not returned the money materials to Plaintiffs despite knowing they belonged to Plaintiffs and Plaintiffs' repeated requests. (*Ibid.*) AMBF had a duty to maintain the monies and materials in a non-negligent manner, but through a transaction with co-defendant Sanctuary Systems, LLC ("Sanctuary"), intended to strip Plaintiffs of the property they were entitled to. (*Id.* at ¶ 54.)

On May 19, 2026, AMBF filed the instant motion for summary judgment, or in the alternative, summary adjudication. On May 28, 2026, this court granted AMBG's *ex parte* application to advance the hearing from January 15, 2027 to August 14, 2026. Plaintiffs filed a timely opposition, and AMBF filed a timely reply.

Motion for Summary Judgment, or in the Alternative, Summary Adjudication

Legal Standard

Any party may move for summary judgment. (Code Civ. Proc., § 437c, subd. (a); *Aguilar v. Atlantic Richfield Co.* (2001) 25 Cal.4th 826, 843 (*Aguilar*).) The motion "shall be granted if all the papers submitted show that there is no triable issue as to any material fact and that the moving party is entitled to a judgment as a matter of law." (Code Civ. Proc., § 437c, subd. (c); *Aguilar, supra,* 25 Cal.4th at p. 843.) The object of the summary judgment procedure is "to cut through the parties' pleadings" to determine whether trial is necessary to resolve the dispute. (*Aguilar, supra,* 25 Cal.4th at p. 843.) Similarly, "[a] party may seek summary adjudication on whether a cause of action, affirmative defense, or punitive damages claim has merit or whether a defendant owed a duty to a plaintiff. [Citation.] 'A motion for summary adjudication…shall proceed in all procedural respects as a motion for summary

[1] The court, on its own motion, takes judicial notice of the record in this action. (Evid. Code, § 452, subd. (d).)

judgment.' [Citation.]" (*California Bank & Trust v. Lawlor* (2013) 222 Cal.App.4th 625, 630 (*California Bank*).)

"A defendant seeking summary judgment must show that at least one element of the plaintiff's cause of action cannot be established, or that there is a complete defense to the cause of action…The burden then shifts to the plaintiff to show there is a triable issue of material fact on that issue." (*Alex R. Thomas & Co. v. Mutual Service Casualty Ins. Co.* (2002) 98 Cal.App.4th 66, 72; internal citations omitted.) A triable issue of material fact exists "if, and only if, the evidence would allow a reasonable trier of fact to find the underlying fact in favor of the party opposing the motion in accordance with the applicable standard of proof." (*Aguilar, supra,* 25 Cal.4th at p. 850, fn. omitted.) If the party opposing summary judgment presents evidence demonstrating the existence of a disputed material fact, the motion must be denied. (*Id.* at p. 856.)

A motion for adjudication shall be granted only if it completely disposes of an entire cause of action, an affirmative defense, a claim for damages, or an "issue of duty." (See Code Civ. Proc., § 437c, subd. (f)(1); *McClasky v. California State Auto. Ass'n* (2010) 189 Cal.App.4th 947, 975 [*"*If a cause of action is not shown to be barred in its entirety, no order for summary judgment—or adjudication—can be entered."].)

Request for Judicial Notice

AMBF's request for judicial notice of the FAC and AMBF's answer to the FAC is GRANTED. (Evid. Code, § 452, subd. (d).)

Evidentiary Objections

AMBF submitted evidentiary objections to the Declaration of Jason Azevedo, the deposition transcript of Sanctuary's PMQ, and an email exchange between Stephen Sharpe, Bryan Sigler, Buddy Barnes, and Harry Barnes. The court need not rule on the objections, which are preserved, because they are not material to the disposition of the motion. (Code Civ. Proc., § 437c, subd. (q).)

Discussion

In moving for summary judgment, AMBF asserts the following: (1) Plaintiffs' negligence, negligent interference with prospective economic relations, and conversion claims are barred by the economic loss rule; (2) Plaintiffs' conversion claim fails because Plaintiffs were not entitled to immediate possession of a sum certain; (3) Plaintiffs' intentional interference with contractual relations, intentional interference with prospective economic relations, and negligent interference with prospective economic relations claims fail because Plaintiffs cannot establish knowledge, causation, or independently wrongful conduct; (4) Plaintiffs' conspiracy claim fails because Plaintiffs have no evidence to support the claim; and (5) Plaintiffs' Unfair Business Practices claim fails because Plaintiffs have no evidence to support the claim. (Notice of Motion, p. 2:15-26.)

The Economic Loss Rule

The economic loss rule provides no recovery in tort for negligently inflicted "economic losses." (*Southern California Gas Leak Cases* (2019) 7 Cal.5th 391, 400.) The economic loss rule arises in various contexts, such as barring "claims in negligence for pure economic losses in deference to a contract between litigating parties." (*Sheen v. Wells Fargo Bank, N.A.,* (2022) 12 Cal.5th 905, 922.) However, "[w]here a special relationship exists between parties, a plaintiff may recover for loss of expected economic advantage through the negligent performance of a contract although the parties were not in contractual privity." (*J'aire Corp. v. Gregory* (1979) 24 Cal.3d 799, 804.)

It is undisputed that Plaintiffs do not allege any physical injury or property damage, only economic losses. (AMBF's Undisputed Material Facts ["UMF"], No. 16.) It is also undisputed that AMBF entered into contracts only with co-defendant Sanctuary—*i.e.*, Plaintiffs and AMBF did not have a contractual relationship. (UMF, No. 5.)

AMBF's assertion that the economic loss rule bars the conversion claim is unpersuasive as it solely relies on *Fine v. Kansas City Life Insurance Company* (C.D. Cal. 2022) 627 F.Supp.3d 1153, 1161 (*Fine*) which observed, "Whether the economic loss rule bars a conversion claim turns on 'whether the ownership interest that formed the basis for the conversion claim preexisted the contract or arises from the contract. Where the interest preexisted the contract, a conversion claim will lie.'" *Fine* is distinguishable because the parties there were in contractual privity with each other. (*Id.* at p. 1157.) Here, Plaintiffs and AMBF indisputably lack contractual privity; Plaintiffs' conversion claim does not arise from contract a between Plaintiffs and AMBF. AMBF provides no authority supporting the assertion that the economic loss rule bars a conversion claim arising from *any* contract—including one that AMBF is a stranger to. (See *Benach v. County of Los Angeles* (2007) 149 Cal.App.4th 836, 852 (*Benach*) ["When [a party] fails to raise a point, or asserts it but fails to support it with reasoned argument and citations to authority, we treat the point as waived."]; see also *Baggett v. Hewlett-Packard Co.*, 2009 U.S.Dist.LEXIS 95241, at *4 [economic loss rule barring conversion claim by purchaser against seller because claim arose "solely out of *their* contract and commercial transaction"].)

AMBF's argument that the economic loss rule bars the negligence and negligent interference of prospective economic relations claims, on the other hand, is well taken. The parties are not in contractual privity, and the FAC does not allege a special relationship that would permit Plaintiffs to recover economic losses for AMBF's negligence performance of its contract with Sanctuary. Plaintiffs appear to concede this argument as they do not address this point in the opposition and thus fail to raise any triable issue of material fact. (See *Sehulster Tunnels/Pre-Con v. Traylor Brothers, Inc./Obayashi Corp.* (2003) 111 Cal.App.4th 1328, 1345, fn. 16 (*Sehulster*) [failure to address point is equivalent to a concession].)

Because the economic loss rule serves as a bar, the court GRANTS AMBF's motion for summary adjudication of the negligence and negligent interference with prospective economic relations claims.

Conversion

AMBF moves for summary adjudication of the conversion claim on the grounds that: (1) Plaintiffs cannot establish entitlement to immediate possession; and (2) Plaintiffs fail to allege or prove a sum certain.

The tort of conversion is comprised of three elements: (1) plaintiff's ownership or right to possession of the property; (2) defendant's disposition of the property in a manner inconsistent with plaintiff's property rights; and (3) damages. (*Voris v. Lampert* (2019) 7 Cal.5th 1141, 1150 (*Voris*).) A party must also allege it is entitled to immediate possession at the time of conversion. (*Farmers Ins. Exchange v. Zerin* (1997) 53 Cal.App.4th 445, 452.) A contractual right of payment alone is insufficient. (*Ibid*.) Actions for the conversion of money require a specific, identifiable sum. (*PCO, Inc. v. Christensen, Miller, Fink, Jacobs, Glaser, Weil & Shapiro, LLP* (2007) 150 Cal.App.4th 384, 396 (*PCO*).)

AMBF argues that Plaintiff cannot establish entitlement to immediate possession of the money because Plaintiffs' voluntarily (and indirectly) paid for AMBF's materials. AMBF characterizes Plaintiff's payment as a buyer-seller transaction, for which the appropriate remedy would be based in contract. AMBF cites *Voris* in support. *Voris* concerned an employee who sought to hold his employer personally liable for unpaid wages under a theory of conversion. (*Voris, supra,* 7 Cal.5th at p. 1144.) The Court first noted that "the simple failure to pay money owed" does not support a claim for conversion, because to hold otherwise would "swallow the significant category of contract claims" based on nonpayment. (*Id.* at p. 1151.) The Court observed, "cases recognizing claims for the conversion of money 'typically involve those who have misappropriated, commingled, or misapplied specific funds held for the benefit of others.' " (*Id.* at p. 1152 [quoting *PCO, supra,* 150 Cal.App.4th at p. 396].) Thus, the employee's claim did not allege the employer's "wrongfully exercised dominion over a specifically identifiable pot of money that already belongs to the employee" (*i.e.*, a conversion claim), but merely "that the employer failed to reach into its own funds to satisfy its debt." (*Voris, supra,* 7 Cal.5th at pp. 1152-1153.) The Court concluded, "a claim for unpaid wages simply seeks the satisfaction of a monetary claim against the employer, without regard to the provenance of the monies at issue." (*Id.* at p. 1156.) Given the rationale of *Voris*, AMBF disclaims any obligation to reach into its own funds to satisfy Plaintiffs' claimed debt. It is undisputed that Plaintiffs voluntarily deposited the money with *Sanctuary* and that those funds were intended for AMBF. (UMF, No. 30.) Plaintiffs have not established that *AMBF*—not Sanctuary—now holds "a specifically identifiable pot of money" that belongs to Plaintiffs.

In opposition, Plaintiffs produce no evidence demonstrating that AMBF failed to return money that was "earmarked for a specific person before being misappropriated." (*Voris, supra,* 7 Cal.5th at p. 1156.) Instead, Plaintiffs cite cases such as *Aljabban v. Fontana Indoor Swap Meet, Inc.* (2020) 54 Cal.App.5th 482 (*Aljabban*) for the proposition that the failure to return a refundable cash deposit supports a conversion cause of action. But, these cases are unhelpful. For example, in *Alijabban,* the court entered judgment in favor of hair salon owners against an indoor swap meet for failing to return $680 of the security deposit because the agreement did not permit the swap meet to use the deposit to repair damages to the premises. (*Id.* at p. 506.) Plaintiffs' citation to *Aljabban*, is unhelpful. As noted above, it is undisputed that the money was deposited with *Sanctuary*, not AMBF. Sanctuary alone had the obligation to hold the money for the benefit of Plaintiffs. Furthermore, Plaintiffs stated in discovery that Plaintiffs and Sanctuary agreed that the money Plaintiffs deposited with Sanctuary would go to AMBF, and that Sanctuary represented the money had gone to AMBF. (AMBF's Index of Exhibits, Ex. 16, p. 5:1-5.) Plaintiffs provide no authority or evidence supporting their proposition that AMBF is liable for a purportedly refundable deposit that was given to Sanctuary. (See *Benach, supra,* 149 Cal.App.4th at p. 852.) Plaintiffs have not demonstrated a triable issue of material fact on their conversion claim.

Because Plaintiffs fail to demonstrate a triable issue of material fact on their entitlement to immediate possession of the money at issue, the court GRANTS AMBF's motion for summary adjudication of the conversion cause of action. The court declines to reach AMBF's remaining argument that Plaintiffs have not pled and cannot prove a sum certain.

Intentional Interference with Contractual and Prospective Economic Relations

AMBF moves for summary adjudication of Plaintiffs' intentional interference with contractual relations and intentional interference with prospective economic relations causes of action on the grounds that Plaintiffs cannot demonstrate knowledge, causation, or independently wrongful conduct.

To state a cause of action for intentional interference with contractual relations, a plaintiff must plead and prove a valid contract between plaintiff and a third party, and the defendant's knowledge of the contract. (*Pacific Gas & Electric Co. v. Bear Stearns & Co.* (1990) 50 Cal.3d 1118, 1126.) Similarly, an intentional interference with prospective economic relations cause of action requires the plaintiff to plead and prove an economic relationship between the plaintiff and a third party "with the probability of future economic benefit to the plaintiff", and defendant's knowledge of that relationship. (*Reeves v. Hanlon* (2004) 33 Cal.4th 1140, 1152, fn. 6.)

Here, AMBF contends that Plaintiffs have no evidence of its knowledge of Plaintiffs' contractual or economic relationships with the State of California, GiveMasks/Fine Group, JDM, Bradley Group, ProPlas, the Titus Group, Inc., or Paper 360, Inc. In support, AMBG offers the declaration of its chief executive officer, Frederick Geyer. Geyer plainly attests, "AMBF also had no knowledge of any of the contracts Plaintiffs had with the State of California, GiveMasks/Fine, JDM, Bradley Group, ProPlas, Paper 360, Inc[.], or Titus Group, Inc." (UMF, No. 35.) Geyer further testified at deposition that AMBF did not know who Sanctuary's customer was, or who Plaintiffs were. (UMF, No. 39.)

AMBF also offers Plaintiffs' factually devoid discovery responses. On January 26, 2023, Plaintiffs responded to AMBF's special interrogatories, which required Plaintiffs to state all facts in support of Plaintiffs' contention that AMBF knew of contracts between Plaintiffs and third parties. (UMF, No. 36.) Plaintiffs solely responded, "On information and belief, [AMBF] had business relationship(s) with the other Defendants in this matter and pursuant to said relationship(s), [AMBF] obtained knowledge of [Plaintiffs] and the contracts it intended to fulfill…" (UMF, No. 37.) The record does not reflect that Plaintiffs have since supplemented their discovery responses to provide factual bases beyond their statements made "on information and belief." Accordingly, the court may infer that Plaintiffs cannot provide more evidence on AMBF's knowledge of the contracts or economic relationships. (*Gulf Ins. Co. v. Berger* (2000) 79 Cal.App.4th 114, 134 ["to grant summary judgment, the court must be able to infer from the record that the plaintiff could produce no other evidence on the disputed point."])

AMBF's evidence is sufficient to meet its initial burden, and Plaintiffs waive this point by failing to provide argument or evidence in opposition. (See *Kim v. Sumitomo Bank* (1993) 17 Cal.App.4th 974, 979 ["'This court is not required to discuss or consider points which are not argued or which are not supported by citation to authorities or the record."])

Because Plaintiffs have not demonstrated a triable issue of material fact on AMBF's knowledge of the contractual or economic relationships, the court GRANTS AMBF's motion for summary adjudication of the intentional interference with contractual relations and intentional interference with prospective economic relations causes of action. The court declines to reach the AMBF's remaining arguments concerning causation or independently wrongful conduct.

Conspiracy

AMBF also moves for summary adjudication of Plaintiffs' conspiracy cause of action on the ground that Plaintiffs have no evidence of AMBF's participation in a conspiracy.

The essential elements of a conspiracy claim are: (1) the formation and operation of the conspiracy; (2) wrongful conduct in furtherance of the conspiracy; and (3) damages arising from wrongful conduct. (*AREI II Cases* (2013) 216 Cal.App.4th 1004, 1022.)

AMBF again submits Plaintiffs' factually devoid discovery responses in support. On January 26, 2023, Plaintiffs responded to AMBF's special interrogatories requiring Plaintiffs to state all facts and identify all documents supporting the allegation that AMBF conspired to engage in conversion. Plaintiffs relied on the allegations of the FAC and stated "on information and belief" that agreements existed between the defendants. (UMF, Nos. 54-55.) On April 17, 2025, Plaintiffs later amended their discovery responses to state that all documents have been produced. (UMF, No. 56.)

Plaintiffs cannot rely on the allegations within their FAC to oppose a motion for summary judgment. A plaintiff may not rely on the allegations of its own pleadings to oppose a motion for summary judgment. (*Roman v. BRE Properties, Inc*. (2015) 237 Cal.App.4th 1040, 1054.) And the record does not reflect that Plaintiffs have supplemented their discovery responses or otherwise produced evidence demonstrating an agreement to conspire. Plaintiffs again waive any argument by failing to address this point in their opposition. (*Sehulster, supra,* 111 Cal.App.4th at p. 1345, fn. 16.)

Because Plaintiffs have not demonstrated a triable issue of material fact on AMBF's participation in a conspiracy, the court GRANTS AMBF's motion for summary adjudication of the conspiracy cause of action.

Unfair Business Practices (UCL)

In moving for summary adjudication of Plaintiffs' UCL cause of action, AMBF argues that because the claim is premised on fraud and misrepresentation, and Plaintiffs do not allege these underlying claims against AMBF, summary adjudication is proper. The argument is well taken.

"The UCL covers a wide range of conduct. It embraces [] anything that can properly be called a business practice and that at the same time is forbidden by law. [] [Citations.]" (*Korea Supply Co. v. Lockheed Martin Corp.* (2003) 29 Cal.4th 1134, 1143.) The UCL "prohibits 'unfair competition,' which it defines as 'any unlawful, unfair or fraudulent business act or practice and unfair, deceptive, untrue or misleading advertising and any act prohibited by [Section 17500].'" (*Hansen v. Newegg.com Americas, Inc.* (2018) 25 Cal.App.5th 714, 722 (*Hansen*) [quoting Bus. & Prof. Code, § 17200].)

The FAC alleges, "Defendants…engaged in conduct likely to deceive general members of the public in how Defendants tested, distributed, manufactured, and sold respirator mask materials. This deception came about through Defendants…misrepresenting and/or making fraudulent statements and promises to [Plaintiffs]." (FAC, ¶ 167.) Thus, the viability of Plaintiffs' UCL cause of action is predicated on the existence of a fraud claim. As AMBF points out, no such claim is alleged against AMBF here.

In opposition, Plaintiffs argue that because the conversion cause of action survives, so too, does Plaintiffs' UCL cause of action. The court disagrees. A party may not oppose a summary judgment based on a claim, theory, or defense that is not alleged in the pleadings. (*California Bank, supra,* 222 Cal.App.4th at p. 637, fn. 3.)

Given the foregoing, the court GRANTS AMBF's motion for summary adjudication of the UCL claim.

<u>Disposition</u>

Defendant AMBF's motion for summary judgment is GRANTED.

The court will prepare the order.

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Calendar Line 2
Calendar line 2
Case Name: *Advoque Safeguard, LLC et al. v. Sanctuary Systems, LLC et al*
Case No.: 21CV392455

Defendants Sanctuary Systems, LLC, Bryan Sigler, and 305 Consulting's motion for judgment on the pleadings

Background[2]

Plaintiffs Advoque Safeguard ("ASG") and Ciasom LLC ("Ciasom"; collectively, "Plaintiffs") manufactured N95 respirators during the COVID-19 pandemic and sued various entities and individuals that were involved in supplying Plaintiffs with mask filtration materials. These entities and individuals include, among others, defendants Sanctuary Systems, LLC, Bryan Sigler, and 305 Consulting (collectively, "Sanctuary Defendants").

The first amended complaint ("FAC") alleges the following causes of action against Sanctuary Defendants: (1) breach of contract; (2) breach of vendor indemnity agreement; (3) breach of implied covenant of good faith and fair dealing; (4) negligence; (5) products liability; (6) express warranty; (7) implied warranty of merchantability; (8) implied warranty of fitness for a particular purpose; (9) intentional misrepresentation; (10) concealment; (11) false promise; (12) negligent misrepresentation ; (13) conversion; (14) intentional interference with contractual relations; (15) intentional interference with prospective economic relations; (16) negligent interference with prospective economic relations; (17) conspiracy; and (18) implied contractual indemnity; and (19) unfair business practices.

On April 14, 2026, the court granted Sanctuary Defendants' motion for summary adjudication of the following causes of action: (1) breach of vendor indemnity agreement (2) negligence; (3) products liability; (4) intentional misrepresentation; (5) concealment; (6) false promise; (7) negligent mis representation; (8) conversion; and (9) unfair business practices. (April 14, 2026 Order, pp. 43:8-12.)

On July 21, 2026, this court granted Sanctuary Defendants' *ex parte* application to advance the hearing on its motion for judgment on the pleadings to August 14, 2026. Plaintiffs filed a timely opposition, and Sanctuary Defendants filed a timely reply.

Motion for Judgment on the Pleadings

Legal Standard

A motion for judgment on the pleadings is proper when the complaint does not state facts sufficient to constitute a cause of action against the defendant. (Code Civ. Proc., § 438, subd. (c)(1)(B)(2).) "The grounds for motion provided in this section shall appear on the face of the challenged pleading or from any mater of which the court is required to take judicial notice." (Code Civ. Proc., § 438, subd. (d).) The motion is the functional equivalent of a general demurrer made after the time to demur has expired and more than 30 days before trial. (See Code Civ. Proc., § 438; see also *Cloud v. Northrop Grumman Corp.* (1998) 67 Cal.App.4th 995, 999; *Shea Homes Limited Partnership v. County of Alameda* (2003) 110

[2] The court takes judicial notice of the record in this action on its own motion. (Evid. Code, § 452, subd. (d).)

Cal.App.4th 1246, 1254 (*Shea*).) "The court accepts as true all material factual allegations, giving them a liberal construction, but does not consider conclusions of fact or law, opinions, speculation, or allegations contrary to law or judicially noticed facts." (*Shea, supra*, 110 Cal.App.4th at p. 1254.)

Discussion

Sanctuary Defendants move for judgment on the pleadings on Plaintiff's fourteenth cause of action for intentional interference with contractual relations, fifteenth cause of action for intentional interference with prospective economic relations, sixteenth cause of action for negligent interference with prospective economic relations, and seventeenth cause of action for conspiracy on the ground that each fails to state facts sufficient to state a cause of action.

Intentional Interference with Contractual Relations

"The elements which a plaintiff must plead to state the cause of action for intentional interference with contractual relations are (1) a valid contract between plaintiff and a third party; (2) defendant's knowledge of this contract; (3) defendant's intentional acts designed to induce a breach or disruption of the contractual relationship; (4) actual breach or disruption of the contractual relationship; and (5) resulting damage." (*Pacific Gas & Electric Co. v. Bear Stearns & Co.* (1990) 50 Cal.3d 1118, 1126.)

The FAC alleges, "TheDefendants [*sic*] engaged in fraud, misrepresentation and other conduct, which ultimatley [*sic*] prevented performance and/or made performance of the contracts more expensive or difficult." (FAC, ¶ 143.) While a plaintiff need not allege conduct independently wrongful from the interference with the contract itself (*Ixchel Pharma, LLC v. Biogen, Inc.* (2020) 9 Cal.5th 1130, 1141 (*Ixchel*)), Plaintiffs specifically allege fraud as the interfering act. The intentional interference with contractual relations claim is therefore predicated on the fraud claims, which have been summarily adjudicated by the April 14, 2026 Order.

The court GRANTS Sanctuary Defendants' motion for judgment on the pleadings as to the intentional interference with contractual relations cause of action.

Interference with Prospective Economic Relations

The essential elements of a claim for intentional interference with prospective economic advantage are: "'(1) an economic relationship between the plaintiff and some third party, with the probability of future economic benefit to the plaintiff; (2) the defendant's knowledge of the relationship; (3) intentional acts on the part of the defendant designed to disrupt the relationship; (4) actual disruption of the relationship; and (5) economic harm to the plaintiff proximately caused by the acts of the defendant.' [Citations.]" (*Korea Supply Co. v. Lockheed Martin Corp*. (2003) 29 Cal.4th 1134, 1153.) The elements of negligent interference are the same except that the interference must result from negligent rather than intentional conduct. (*Venhaus v. Shultz* (2007) 155 Cal.App.4th 1072, 1078.)

"[A] plaintiff seeking to recover damages for interference with prospective economic advantage must plead as an element of the claim that the defendant's conduct was 'wrongful by some legal measure other than the fact of interference itself.' [Citation.]" (*Ixchel Pharma, LLC v. Biogen, Inc.* (2020) 9 Cal.5th 1130, 1142 (*Ixchel*).) "[W]hile intentionally interfering with an existing contract is generally 'a wrong in and of itself' [citation], intentionally interfering with prospective economic advantage requires pleading that the defendant committed an independently wrongful act [citation]." (*Ibid*.) " '[A]n act is independently wrongful if it is unlawful, that is, if it proscribed by some constitutional, statutory, regulatory, common law, or other determinable legal standard.' [Citation.]" (*Ibid.*) Stated another way, "[t]he defendant's conduct must be independently actionable." (*Gemini Aluminum Corp. v. Cal. Custom Shapes* (2002) 95 Cal.App.4th 1249, 1259.)

The FAC alleges, "Defendants engaged in wrongful conduct through their breaches, negligence, representation, fraud, or violation of statute, which ultimatley [*sic*] interfered with ASG and CIASOM's prospective economic advantage." (FAC, ¶ 152.) The court dismissed Plaintiffs' fraud, unfair business practices, and negligence claims in the April 14, 2026 Order. Accordingly, the only causes of action that support the intentional interference with prospective economic relations claim arise from the breach of contract claims. Such claims, however, do not constitute an "independently wrongful act" for purposes of an interference with prospective economic relations cause of action. (*Drink Tank Ventures LLC v. Real Soda in Real Bottles, Ltd.* (2021) 71 Cal.App.5th 528, 540.)

Plaintiffs cite *Redfearn v. Trader Joe's Co.* (2018) 20 Cal.App.5th 989, 1006 (*Redfearn*)[3] for the proposition that it is unnecessary to allege a standalone fraud causes of action to allege a viable intentional interference with prospective economic relations claim. In *Redfearn*, a broker adequately alleged an interference with prospective economic relations claim based on defamation, despite not pleading defamation as a standalone cause of action. (*Ibid*.) In reaching this decision, the *Redfearn* court noted, "the wrongful interfering act can be independently tortious only as to a third party; it need not be independently wrongful as to the plaintiff." (*Id.* at p. 1006 [citing *Korea Supply Co. v. Lockheed Martin Corp.* (2003) 29 Cal.4th 1134, 1163].) It is against this backdrop that the court stated, "it is not necessary to also plead a separate, stand-alone tort cause of action." (*Redfearn, supra,* 20 Cal.App.5th at p. 1006.) In any event, because the allegations included facts supporting the wrongful act of defamation within the meaning of Civil Code section 46, subdivision (3), the broker adequately alleged an intentional interference with prospective economic relations claim. (*Id*. at p. 1007.) *Redfearn*, however, is distinguishable.

Here, unlike in *Redfearn*, Sanctuary Defendants challenge the FAC after having prevailed on a motion for summary adjudication directed to the underlying fraud, unfair business practices, and negligence claims. "It is the plaintiff's burden to plead *and prove* that the defendant's conduct is independently wrongful in order to recover." (*Crown Imports, LLC v. Superior Court* (2014) 223 Cal.App.4th 1395, 1404, emphasis added.) It is unclear to this court how Plaintiffs may prove the underlying fraud as independent wrongful conduct where the fraud claims have already been dismissed for failing to demonstrate justifiable reliance on the motion for summary adjudication. (April 14, 2026 Order, p. 19:13-14; see *Ahn v. Stewart Title Guaranty Co.* (2023) 93 Cal.App.5th 168, 188 ["With Ahn unable to show an antitrust injury, the trial court correctly ruled that he likewise could not demonstrate a triable issue on either economic tort claim."]; see also *Contemporary Services Corp. v. Staff Pro Inc.* (2007) 152 Cal.App.4th 1043, 1060 [striking intentional tort claims that were "entirely based on"

[3] *Redfearn,* was overruled on another ground in *Ixchel, supra,* 9 Cal.5th at p. 1148.

preceding claims that plaintiff failed to demonstrate a probability of prevailing]; *Prostar Wireless Grp., LLC v. Domino's Pizza, Inc.* (N.D.Cal. 2018) 360 F. Supp. 3d 994, 1016 [dismissing intentional interference claim because predicate fraud claim was dismissed].)

The court GRANTS Sanctuary Defendants' motion for judgment on the pleadings as to the intentional interference with prospective economic relations.

Conspiracy

"To allege a conspiracy, a plaintiff must plead '(1) formation and operation of the conspiracy and (2) damage resulting to plaintiff (3) from a wrongful act done in furtherance of the common design.' [Citation.]" (*Daniels v. Select Portfolio Servicing, Inc.* (2016) 246 Cal.App.4th 1150, 1173.) Conclusory allegations of conspiracy will not suffice. (*Id.* at p. 1173.)

"Conspiracy is not a cause of action, but a legal doctrine that imposes liability on persons who, although not actually committing a tort themselves, share with the immediate tortfeasors a common plan or design in its perpetration." (*Applied Equipment Corp. v. Litton Saudi Arabia Ltd.* (1994) 7 Cal.4th 503, 510-511.) "But the conspiracy does not result in tort liability unless an actual tort is committed." (*Kenne v. Stennis* (2014) 230 Cal.App.4th 953, 968.)

The FAC alleges, "Defendants are responsible for the harm incurred by Plaintiffs because the Defendants and each of them were part of a conspiracy to commit said wrongful conduct including the conversion and fraud alleged throughout this Complaint. On information and belief, each of the Defendants agreed to conspire with one another to engage in the acts alleged herein, including, but not limited to, fraud and conversion." (FAC, ¶ 156.)

Sanctuary Defendants argue that because the only remaining tort claims supporting conspiracy claims are the intentional interference claims, Plaintiffs have not alleged sufficient facts to support their conspiracy claims. The argument is well taken considering the court's rulings above.

The court GRANTS Sanctuary Defendants' motion for judgment on the pleadings as to the conspiracy claim.

<u>Disposition</u>

The court GRANTS Sanctuary Defendants' motion for judgment on the pleadings on the fourteenth, fifteenth, and seventeenth causes of action without leave to amend. (See *Shaeffer v. Califia Farms, LLC* (2020) 44 Cal.App.5th 1125, 1145 [permitting leave to amend "only if a potentially effective amendment [is] both apparent and consistent with the plaintiff's theory of the case."]; see also *Goodman v. Kennedy* (1976) 18 Cal.3d 335, 349 [plaintiff has the burden of showing how the complaint may be amended, and how that amendment will change the legal effect of the pleading].)

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Calendar Line 3
Case Name: *Advoque Safeguard, LLC et al. v. Sanctuary Systems, LLC et al*
Case No.: 21CV392455

Defendants Bentham Pourdeyhimi and Leaders in Innovation and Nonwovens Commercialization's motion for judgment on the pleadings.

Background[4]

Plaintiffs Advoque Safeguard ("ASG") and Ciasom LLC ("Ciasom"; collectively, "Plaintiffs") manufactured N95 respirators during the COVID-19 pandemic and sued various entities and individuals that were involved in supplying Plaintiffs with mask filtration materials. These entities and individuals include, among others, defendants Benham Pourdeyhimi ("Pourdeyhimi") and Leaders in Innovation and Nonwovens Commercialization ("LINC"; collectively, "LINC Defendants").

The first amended complaint ("FAC") alleges the following causes of action against LINC Defendants: (1) negligence; (2) products liability; (3) express warranty; (4) implied warranty of merchantability; (5) implied warranty of fitness for a particular purpose; (6) intentional misrepresentation; (7) concealment; (8) false promise; (8) negligent misrepresentation; (9) conversion; (10) intentional interference with contractual relations; (11) intentional interference with prospective economic relations; (12) negligent interference with prospective economic relations; (13) conspiracy; and (14) unfair business practices.

On April 14, 2026, the court granted LINC Defendants' motion for summary adjudication of the following causes of action: (1) negligence; (2) products liability; (3) conversion; (4) intentional interference with contractual relations; (5) negligent interference with prospective economic relations; (6) conspiracy. (April 14, 2026 Order, pp. 43:21-44:3.) The court also granted LINC Defendants' motion for judgment on the pleadings on the following causes of action and granted 20 days' leave to amend: (1) intentional misrepresentation; (2) concealment; (3) false promise; and (4) negligent misrepresentation. (*Ibid*.) Plaintiffs did not file a second amended complaint.

On June 29, 2026, Pourdeyhimi filed the present motion for judgment on the pleadings. That same day, LINC filed a notice of joinder in Pourdeyhimi's motion. The request for joinder is granted. On July 23, 2026, this court granted Pourdeyhimi's *ex parte* application to advance the hearing from February 19, 2027 to August 14, 2026. Plaintiffs filed a timely opposition, and Pourdeyhimi filed a timely reply.

Motion for Judgment on the Pleadings

Legal Standard

A motion for judgment on the pleadings is proper when the complaint does not state facts sufficient to constitute a cause of action against the defendant. (Code Civ. Proc., § 438, subd. (c)(1)(B)(2).) "The grounds for motion provided in this section shall appear on the face of the challenged pleading or from any mater of which the court is required to take judicial notice." (Code Civ. Proc., § 438, subd. (d).) The motion is the functional equivalent of a

[44] The court takes judicial notice of the record in this action on its own motion. (Evid. Code, § 452, subd. (d).)

general demurrer made after the time to demur has expired and more than 30 days before trial. (See Code Civ. Proc., § 438; see also *Cloud v. Northrop Grumman Corp.* (1998) 67 Cal.App.4th 995, 999; *Shea Homes Limited Partnership v. County of Alameda* (2003) 110 Cal.App.4th 1246, 1254 (*Shea*).) "The court accepts as true all material factual allegations, giving them a liberal construction, but does not consider conclusions of fact or law, opinions, speculation, or allegations contrary to law or judicially noticed facts." (*Shea, supra*, 110 Cal.App.4th at p. 1254.)

Discussion

LINC Defendants move for judgment on the pleadings on Plaintiff's fifteenth cause of action for intentional interference with prospective economic advantage and nineteenth cause of action for Unfair Competition Law on the ground that each fails to state facts sufficient to state a cause of action.

Unfair Competition Law (UCL)

The UCL prohibits and provides civil remedies for, unfair competition, which it defines as "an unlawful, unfair, or fraudulent business act or practice." (*Kwikset Corp. v. Superior Court* (2011) 51 Cal.4th 310, 320 (*Kwikset*) [citing Bus. & Prof. Code § 17200].) These types of prohibited business practices are referred to as the three "prongs" of UCL liability. "Because section 17200 is written in the disjunctive, a business act or practice need only meet one of the three criteria—unlawful, unfair, or fraudulent—to be considered unfair competition under the UCL." (*Buller v. Sutter Health* (2008) 160 Cal.App.4th 981, 986.)

The FAC alleges, "Defendants, and each of them, engaged in conduct likely to deceive general members of the public in how Defendants tested, distributed, manufactured, and sold respirator mask materials. This deception came about through Defendants, and each of them, misrepresenting and/or making fraudulent statements and promises to ASG and CIASOM." (FAC, ¶ 167.) Plaintiffs' UCL claim is therefore predicated on their fraud claims.

As noted above, the court granted LINC Defendants' motion for judgment on the pleadings on the Plaintiffs' fraud claims with leave to amend. (April 14, 2026 Order, pp. 43:21-44:3.) Plaintiffs did not file an amended complaint, and therefore, abandoned those claims. While Plaintiffs claim that they can now amend the FAC to allege additional facts supporting the allegations of fraud, Plaintiffs provide no explanation why they failed to amend the FAC pursuant to the court's April 14, 2026 Order. Plaintiffs also provide no authority permitting another opportunity to amend. In any event, Plaintiffs unpersuasively cite *Boschma v. Home Loan Center, Inc.* (2011) 198 Cal.App.4th 230, 253 for the proposition that any allegation of fraud is sufficient for purposes of alleging UCL. There, the appellate court noted, "Based on our analysis of plaintiffs' common law fraud claim, we conclude plaintiffs have adequately pleaded a section 17200 claim under the unlawful and fraudulent prong." (*Ibid.*) Thus, the *Boschma* court first concluded that the plaintiff adequately alleged a fraud claim before concluding that the UCL was adequately pleaded. (*Ibid.*) Without the predicate fraud claims, plaintiff's UCL cause of action cannot survive the motion for judgment on the pleadings. (*Kwikset, supra,* 51 Cal.4th at p. 320.)

The court GRANTS LINC Defendants' motion for judgment on the pleadings on the nineteenth cause of action for violation of the UCL.

Intentional Interference with Prospective Economic Relations

"[A] plaintiff seeking to recover damages for interference with prospective economic advantage must plead as an element of the claim that the defendant's conduct was 'wrongful by some legal measure other than the fact of interference itself.' [Citation.]" (*Ixchel Pharma, LLC v. Biogen, Inc.* (2020) 9 Cal.5th 1130, 1142 (*Ixchel*).) "[W]hile intentionally interfering with an existing contract is generally 'a wrong in and of itself' [citation], intentionally interfering with prospective economic advantage requires pleading that the defendant committed an independently wrongful act [citation]." (*Ibid*.) " '[A]n act is independently wrongful if it is unlawful, that is, if it proscribed by some constitutional, statutory, regulatory, common law, or other determinable legal standard.' [Citation.]" (*Ibid.*) Stated another way, "[t]he defendant's conduct must be independently actionable." (*Gemini Aluminum Corp. v. Cal. Custom Shapes* (2002) 95 Cal.App.4th 1249, 1259.)

The FAC alleges, "Defendants engaged in wrongful conduct through their breaches, negligence, representation, fraud, or violation of statute, which ultimatley [*sic*] interfered with ASG and CIASOM's prospective economic advantage." (FAC, ¶ 152.) Given the foregoing, the only causes of action that may support an allegation intentional interference with prospective economic relations are for breach of express warranty and breach of implied warranty of merchantability. But "a bare breach of contract, without more, is not tortious, [and] a breach cannot constitute independently wrongful conduct capable of giving rise to the tort of intentional interference with a prospective economic advantage." (*Drink Tank Ventures LLC v. Real Soda in Real Bottles, Ltd.* (2021) 71 Cal.App.5th 528, 540.) Accordingly, the FAC does not adequately allege an independent wrongful act.

Plaintiffs cite *Redfearn v. Trader Joe's Co.* (2018) 20 Cal.App.5th 989, 1006 (*Redfearn*) [5] for the proposition that it is unnecessary to allege a standalone fraud causes of action to allege a viable intentional interference with prospective economic relations claim. In *Redfearn*, a broker adequately alleged an interference with prospective economic relations claim based on defamation, despite not pleading defamation as a standalone cause of action. (*Ibid*.) In reaching this decision, the *Redfearn* court noted, "the wrongful interfering act can be independently tortious only as to a third party; it need not be independently wrongful as to the plaintiff." (*Id.* at p. 1006 [citing *Korea Supply Co. v. Lockheed Martin Corp.* (2003) 29 Cal.4th 1134, 1163].) It is against this backdrop that the court stated, "it is not necessary to also plead a separate, stand-alone tort cause of action." (*Redfearn, supra,* 20 Cal.App.5th at p. 1006.) In any event, because the allegations included facts supporting the wrongful act of defamation within the meaning of Civil Code section 46, subdivision (3), the broker adequately alleged an intentional interference with prospective economic relations claim. (*Id*. at p. 1007.) *Redfearn*, however, is distinguishable.

Here, unlike in *Redfearn*, the LINC Defendants challenge the FAC after prevailing on a motion for summary adjudication of the negligence claims. The court also granted the LINC Defendants' motion for judgment on the pleadings as to the fraud claims, which Plaintiffs inexplicably did not amend. The court therefore grants LINC Defendants' present motion for judgment on the pleadings as to the UCL claims. (See *Ahn v. Stewart Title Guaranty Co.* (2023) 93 Cal.App.5th 168, 188 ["With Ahn unable to show an antitrust injury, the trial court correctly ruled that he likewise could not demonstrate a triable issue on either economic

[5] *Redfearn,* was overruled on another ground in *Ixchel, supra,* 9 Cal.5th at p. 1148.

tort claim."]; see also *Contemporary Services Corp. v. Staff Pro Inc.* (2007) 152 Cal.App.4th 1043, 1060 [striking intentional tort claims that were "entirely based on" preceding claims that plaintiff failed to demonstrate a probability of prevailing]; *Prostar Wireless Grp., LLC v. Domino's Pizza, Inc.* (N.D.Cal. 2018) 360 F. Supp. 3d 994, 1016 [dismissing intentional interference claim because predicate fraud claim was dismissed].)

The court GRANTS LINC Defendants' motion for judgment on the pleadings on the fifteenth cause of action for intentional interference with prospective economic relations.

<u>Disposition</u>

The court GRANTS Defendants' motion for judgment on the pleadings on the fifteenth cause of action for intentional interference with prospective economic relations and the nineteenth cause of action for violation of the UCL without leave to amend. (See *Shaeffer v. Califia Farms, LLC* (2020) 44 Cal.App.5th 1125, 1145 [permitting leave to amend "only if a potentially effective amendment [is] both apparent and consistent with the plaintiff's theory of the case."]; see also *Goodman v. Kennedy* (1976) 18 Cal.3d 335, 349 [plaintiff has the burden of showing how the complaint may be amended, and how that amendment will change the legal effect of the pleading].)

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Calendar line 4
Case Name: *White v. Gabriel, et al.*
Case No. 22CV408831

MOTION OF ATTORNEY'S FEES

Before the Court is Defendants Ariana Gabriel and Julia Thompson's Consolidated and Supplemental Motion for Attorneys' Fees After Appeal pursuant to Code of Civil Procedure section 425.16, subdivision (c)(1). Defendants seek a total of $465,883.70 in attorneys' fees, consisting of $247,686.95 for work at the trial court level, $161,880.25 for the anti-SLAPP appeal, $44,726.50 for the attorneys' fees appeal, and $11,590.00 for preparation of the instant motion.

Plaintiff Thomas White opposes the motion on the grounds that Defendants are not prevailing parties, the hours expended are excessive and unreasonable, and the requested hourly rates exceed prevailing Santa Clara County market rates for comparable work.

Having reviewed the moving, opposition, and reply papers, the appellate opinions and remittiturs, and the supporting declarations and exhibits, the Court rules as follows.

I. PROCEDURAL BACKGROUND

On September 13, 2023, this Court granted Defendants Gabriel and Thompson's anti-SLAPP motions in their entirety. On April 9, 2024, the Court awarded Gabriel $284,192.00 and Thompson $69,646.50 in attorneys' fees.

On April 28, 2025, the Court of Appeal, Sixth Appellate District, issued its opinion in case number H051530 ("White I"), reversing in part and remanding with directions to vacate the prior order and enter a new order: (1) denying all defendants' motions to strike the defamation claim arising out of the SSI Slack post and Fountain Hopper publication, and (2) granting defendants' motions to strike the defamation claim arising out of all other activities, communications, and statements.

The remittitur in White I was filed on June 30, 2025.

On February 6, 2026, the Court of Appeal issued its opinion in case number H052203 ("White II"), reversing the attorneys' fees orders and remanding for the trial court to determine Defendants' entitlement to reasonable attorney fees and costs in light of White I.

The remittitur in White II was filed on April 14, 2026.

II. LEGAL STANDARD

A. Mandatory Fee-Shifting Under Section 425.16(c)(1)

Code of Civil Procedure section 425.16, subdivision (c)(1), provides that, except as otherwise specified, "a prevailing defendant on a special motion to strike shall be entitled to recover that defendant's attorney's fees and costs." The fee-shifting provision is mandatory as to a prevailing defendant.

B. Partially Prevailing Defendant

A defendant need not obtain complete success on an anti-SLAPP motion to qualify as a prevailing defendant. A defendant who partially prevails generally is considered a prevailing party unless the results of the motion were so insignificant that the defendant obtained no practical benefit. (*Mann v. Quality Old Time Service, Inc.* (2006) 139 Cal.App.4th 328, 340.)

The amount of fees awarded to a partially prevailing defendant, however, must reflect the extent of the defendant's success. Where work on successful and unsuccessful portions of an anti-SLAPP motion overlaps, the Court should consider the defendant's relative success, the extent to which the motion advanced the litigation posture, whether the same factual allegations remain to be litigated, whether discovery and motion practice have been narrowed, and the extent to which future litigation expenses and strategy have been affected. (*Id.* at pp. 340-343.)

Thus, the Court does not mechanically award all fees incurred merely because some claims were successfully stricken. Rather, the award should be commensurate with the practical benefit obtained.

C. Lodestar

The Court determines reasonable attorney fees by applying the lodestar method: the number of hours reasonably expended multiplied by the reasonable hourly rate prevailing in the community for similar work. The Court may adjust the lodestar as appropriate based on the circumstances of the case, including the difficulty of the issues and the results obtained. (*Ketchum v. Moses* (2001) 24 Cal.4th 1122, 1131-1132.)

The Court may reduce hours that are excessive, duplicative, inadequately documented, or otherwise unreasonable.

III. PREVAILING PARTY DETERMINATION

A. Effect of White I

White I reversed the trial court's complete grant of Gabriel and Thompson's anti-SLAPP motions. The appellate court directed entry of a new order denying the motions as to two communications—the SSI Slack post and the Fountain Hopper publication—and granting the motions as to all other activities, communications, and statements.

Accordingly, Defendants ultimately prevailed as to five of the seven alleged defamatory communications and did not prevail as to two.

B. Defendants Remain Prevailing Parties

Defendants Gabriel and Thompson are prevailing parties under section 425.16, subdivision (c)(1).

Their success was substantial rather than insignificant. The anti-SLAPP motions eliminated five of seven alleged defamatory communications, including communications to individual Stanford students and the Zipline-related communications. The result narrowed the claims remaining in the action, reduced the factual allegations Plaintiff may pursue, limited the scope of discovery and motion practice, and reduced potential damages exposure.

The fact that two communications remain does not negate the substantial practical benefit Defendants obtained. Under *Mann*, a defendant need not prevail on every challenged claim to qualify as a prevailing defendant.

The Court therefore finds that Defendants Gabriel and Thompson are prevailing parties and are entitled to an award of reasonable attorney fees.

C. Defendants' Partial Success Must Be Reflected in the Amount Awarded

Although Defendants are prevailing parties, they did not obtain complete dismissal of Plaintiff's defamation claims. The two surviving communications—the SSI Slack post and Fountain Hopper publication—are significant allegations that remain to be litigated. Moreover, much of the work performed in connection with the anti-SLAPP motions necessarily overlapped the allegations that survived White I. The Court therefore cannot reasonably conclude that Defendants should recover all fees incurred in litigating the anti-SLAPP motions merely because five of seven communications were stricken.

The Court must instead determine an award commensurate with the practical benefit obtained. (*Mann*, supra, 139 Cal.App.4th at pp. 340-343.)

In the prior fee ruling involving co-defendants Wall and Harris, the Court applied a two-sevenths reduction to account for their partial success on the seven alleged communications. That approach provides a useful case-specific benchmark here. The Court finds no basis to depart materially from that approach.

Accordingly, after determining the reasonable lodestar for the compensable work, the Court will reduce the resulting amount by two-sevenths, leaving five-sevenths of the lodestar as the reasonable fee attributable to Defendants' successful result.

This is not a mechanical allocation of hours among seven communications. Rather, the reduction reflects the Court's assessment of the relative success achieved, the significance of the two surviving communications, the substantial factual overlap in the work performed, and the practical effect of the anti-SLAPP ruling on the litigation.

IV. REASONABLE HOURLY RATES

The Court determines the reasonable hourly rate by reference to the prevailing market rate in the relevant community for comparable legal services, considering counsel's experience, skill, reputation, and the nature and complexity of the work.

The Court is mindful that the litigants are students and has taken that circumstance into consideration in evaluating the fee request. That said, the reasonable market rate for legal services should not be determined based on the financial or educational status of the litigants. The economic circumstances of the litigants do not establish a different legal market rate for counsel's services. Counsel may, of course, choose to take their clients' circumstances into account in determining what fees to charge.

The Court finds the following rates reasonable for the services performed in Santa Clara County:

- Christian E. Picone: $900/hour.
- John V. Picone III: $900/hour.
- Alan Law: $800/hour.
- Christian D. Wick: $450/hour.
- Robert Aversa-Goodman: $350/hour.
- Michael B. Ijams**:** $900/hour.

The Court finds these rates appropriate based on counsel's respective experience, skill, and the nature of the services performed.

With respect to Mr. Aversa-Goodman, the Court recognizes that, although he was a relatively junior attorney during the relevant period, he had meaningful appellate experience and was not performing appellate work without prior experience. His appellate experience supports a rate above that ordinarily appropriate for an attorney with comparable years in practice. Nevertheless, his relative junior status and experience remain relevant to the reasonable market rate. The Court finds $350/hour reasonable.

V. REASONABLE HOURS EXPENDED

A. Trial Court Anti-SLAPP Work

Defendants' counsel billed the following hours at the trial court level:

- Christian E. Picone: 196.7 hours;
- Christian D. Wick: 250.1 hours, reduced to 171.3 hours in the prior fee ruling;
- Alan Law: 20.6 hours; and
- John V. Picone III: 73.7 hours.

The prior ruling found substantial work reasonable in light of the complexity of the anti-SLAPP motions, the seven alleged defamatory communications, discovery disputes, substantial document production and review, depositions, and multiple oppositions.

The Court agrees that the litigation reasonably required substantial attorney time. At the same time, the Court finds some reduction in the claimed hours appropriate in determining the reasonable lodestar.

The Court finds the following hours reasonable:

- Christian E. Picone: 175 hours;
- Christian D. Wick: 150 hours;
- Alan Law: 20.6 hours;
- John V. Picone III: 65 hours.

The resulting trial-court lodestar is:

Attorney	Hours	Rate	Lodestar
Christian E. Picone	175.0	$900	
Christian D. Wick	150.0	$450	
Alan Law	20.6	$800	
John V. Picone III	65.0	$900	
Total			

Applying the two-sevenths reduction for partial success for trial-court work.

B. Anti-SLAPP Appeal — White I

Defendants claim the following hours for the White I appeal:

- Robert Aversa-Goodman: 496.5 hours;
- Michael B. Ijams: 51.0 hours;
- Christian E. Picone: 1.5 hours; and
- Christian D. Wick: 42.7 hours.

1. Robert Aversa-Goodman

Plaintiff challenges Mr. Aversa-Goodman's 496.5 hours as excessive.

The Court agrees that the claimed hours are excessive. The appellate record was substantial, and Plaintiff's opening brief was lengthy. The Court also recognizes that Mr. Aversa-Goodman had meaningful appellate experience and that the appeal presented substantial factual and legal issues. His experience, however, does not make nearly 500 hours reasonable for the work claimed.

The Court finds 320 hours reasonable for Mr. Aversa-Goodman's work on the White I appeal, excluding time devoted to the unsuccessful petition for rehearing.

The Court's allowance of 320 hours reflects the substantial appellate record, the length and complexity of Plaintiff's opening brief, the factual and legal issues presented, and Mr. Aversa-Goodman's demonstrated appellate experience. At the same time, it reflects the Court's conclusion that the claimed 496.5 hours substantially exceed the amount reasonably necessary to perform the work.

The Court therefore awards 320 hours at $350/hour, for a lodestar of $112,000.00.

2. Petition for Rehearing

Defendants seek fees for 53.2 hours by Mr. Aversa-Goodman and 9.9 hours by Mr. Ijams for the petition for rehearing.

The petition for rehearing was unsuccessful. The Court therefore does not include those hours in the lodestar for the successful defense of White I.

3. Michael B. Ijams

Mr. Ijams billed 51 hours for supervision, strategy, feedback, and mock oral arguments. After excluding the 9.9 hours attributable to the petition for rehearing, 41 hours remain.

Given Mr. Ijams's extensive appellate experience and supervisory role, the Court finds 41 hours reasonable at $900/hour.

4. Christian E. Picone and Christian D. Wick

The Court finds the claimed 1.5 hours by Mr. Picone and 42.7 hours by Mr. Wick reasonable.

The resulting White I lodestar is:

Attorney	Hours	Rate	Lodestar
Robert Aversa-Goodman	320.0	$350	
Michael B. Ijams	41.0	$900	
Christian E. Picone	1.5	$900	
Christian D. Wick	42.7	$450	
Total			

Applying the two-sevenths reduction for partial success for the White I appeal.

C. Attorneys' Fees Appeal — White II

Defendants seek $44,726.50 for work on the attorneys' fees appeal in White II.

Defendants did not prevail in White II. The Court of Appeal reversed the prior fee awards and remanded for this Court to reconsider Defendants' entitlement to fees in light of White I.

The Court therefore awards no fees for the work performed in White II.

This conclusion does not rest on a categorical rule that fees can never be awarded for unsuccessful appellate work. Rather, under the circumstances here, the Court finds that the fees incurred in an appeal that resulted in reversal of the prior fee awards were not reasonably attributable to obtaining the successful result for which fees are being awarded.

D. Fees on Fees

Defendants request $11,590.00 for 24.4 hours by Mr. Wick in preparing the instant fee motion at $475/hour.

A prevailing anti-SLAPP defendant may recover reasonable fees incurred in establishing its entitlement to fees. (*Ketchum*, supra, 24 Cal.4th at pp. 1133-1134.)

The Court finds 24.4 hours at $450/hour reasonable

Because Defendants have obtained only partial success overall, the same two-sevenths reduction is appropriate.

VII. RULING

1. Defendants Ariana Gabriel and Julia Thompson's Consolidated and Supplemental Motion for Attorney's Fees is GRANTED IN PART
2. No fees are awarded for the White II attorneys' fees appeal.
3. In calculating the attorney-fee award, Defendants shall apply the rates set forth above to the hours found reasonable by the Court and
4. Defendant shall prepare, serve, and submit a proposed order consistent with this ruling, including the recalculated attorney-fee accompanied by the necessary Forms EFS-020, within seven (7) days of the hearing.

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Calendar Line 5
Case Name: *Main Street Enterprise, Inc. v. FCA US LLC*
Case No.: 24CV439815

I. PROCEDURAL BACKGROUND

On May 24, 2024, Plaintiff Main Street Enterprise, Inc. filed a Complaint against Defendant FCA US LLC alleging violations of the Song-Beverly Consumer Warranty Act (the "Act"). Defendant filed its Answer on July 4, 2024.

The parties engaged in written discovery. On February 25, 2025, Plaintiff filed a Motion to Compel Further Responses and Documents to Requests for Production, Set One. On July 16, 2025, the Court granted Plaintiff's motion in pertinent part.

On August 1, 2025, the parties attended mediation. On August 5, 2025, Defendant served a Code of Civil Procedure section 998 offer, which Plaintiff accepted. The settlement provided for payment of $99,000, with attorney's fees, costs, and expenses to be determined by motion. The settlement agreement also designated Plaintiff as the prevailing party for purposes of a fee motion.

On December 12, 2025, Plaintiff filed a Memorandum of Costs seeking $1,186.53 in costs. Defendant did not timely move to strike or tax the claimed costs.

On December 31, 2025, Plaintiff filed the instant Motion for Attorney's Fees, Costs, and Expenses, seeking $21,828.95 in incurred attorney's fees, plus $3,375.00 in anticipated fees for reviewing the opposition, preparing a reply, and attending the hearing, for a total fee request of $25,203.95, plus $1,186.53 in costs.

Defendant filed its Opposition on August 3, 2026, challenging Plaintiff's hourly rates and numerous billing entries and requesting an award of no more than $6,421.85.

Plaintiff filed a Reply on August 7, 2026, together with a Supplemental Declaration of Carey B. Wood and Evidentiary Objections to the Declaration of Hector E. Zurita-Cruz.

The matter came on for hearing on August 14, 2026.

II. EVIDENTIARY OBJECTIONS

Plaintiff raises two objections to the Declaration of Hector E. Zurita-Cruz.

Objection No. 1: Plaintiff objects to Exhibit A, consisting of highlighted billing records, as improper expert testimony lacking foundation under Evidence Code sections 720 and 800–803.

Ruling: OVERRULED. Exhibit A does not purport to offer specialized expert testimony. Defendant's counsel may identify and argue that particular billing entries are excessive, duplicative, clerical, or otherwise unreasonable without qualifying as an expert witness. The Court considers the exhibit for that limited purpose.

Objection No. 2: Plaintiff objects to Exhibit B, an excerpt from the 2023 Real Rate Report, on foundational and authentication grounds.

Ruling: OVERRULED IN PART and SUSTAINED IN PART. The Court may consider evidence concerning prevailing market rates in determining reasonable hourly rates. However, the excerpt submitted does not establish sufficient information concerning its methodology, geographic scope, or comparability of the reported rates to the attorneys and work at issue here. The Court therefore gives the exhibit limited weight in determining reasonable hourly rates.

III. LEGAL STANDARD

Civil Code section 1794, subdivision (d), provides that a prevailing buyer in a Song-Beverly action is entitled to recover costs and expenses, including attorney's fees based on actual time expended, determined by the Court to have been reasonably incurred in connection with the commencement and prosecution of the action.

The lodestar method generally applies. The Court first determines the number of hours reasonably expended and multiplies that figure by a reasonable hourly rate. The resulting lodestar may be adjusted based on circumstances specific to the case. (*Ketchum v. Moses* (2001) 24 Cal.4th 1122, 1131–1132; *Hanna v. Mercedes-Benz USA, LLC* (2019) 36 Cal.App.5th 493, 506–510.)

The prevailing buyer bears the burden of establishing the hours reasonably expended and the reasonableness of the requested rates. The Court has broad discretion to determine whether the claimed fees were reasonably incurred. (*Goglin v. BMW of North America, LLC* (2016) 4 Cal.App.5th 462, 470; *Etcheson v. FCA US LLC* (2018) 30 Cal.App.5th 831, 840.)

IV. DISCUSSION

A. Prevailing Party Status

The parties do not dispute that Plaintiff is the prevailing party. The accepted section 998 offer and settlement agreement expressly provide that Plaintiff is the prevailing party for purposes of the attorney-fee motion.

Plaintiff therefore is entitled to recover attorney's fees and costs reasonably incurred in the commencement and prosecution of this action under Civil Code section 1794, subdivision (d).

B. Reasonable Hourly Rates

Plaintiff seeks the following hourly rates:

- Nancy Zhang: \$515–\$540 per hour;
- Corinna Jiang: \$430–\$450 per hour;
- Diana Rivero: \$510 per hour; and

- David Gomez, paralegal: $210–$215 per hour.

Defendant contends that the rates should be reduced to $495 per hour for partners, $295 per hour for associates, and $100 per hour for paralegals.

The reasonable hourly rate is the prevailing market rate in the relevant community for attorneys and other professionals performing comparable work. The Court has considered the evidence submitted by both parties, including Defendant's Real Rate Report and Plaintiff's evidence concerning rates awarded in other cases.

The Court declines to adopt Defendant's proposed categorical rate caps. Defendant's rate evidence does not establish that the proposed rates are the appropriate rates for comparable Song-Beverly consumer-protection litigation in Santa Clara County.

The Court finds the following hourly rates reasonable for purposes of the lodestar on Song Beverly cases:

- Partner-level work: $500-550 per hour;
- Associate-level work: $300 - 400 per hour
- Paralegal work: $200 per hour.

These rates Plaintiff is requesting is reasonable in light of the nature of the litigation, the work performed, the level of experience, and the relevant market.

C. Reasonable Hours Expended

Plaintiff's billing records reflect 54.13 hours of attorney and paralegal time. The Court has reviewed the challenged billing entries and addresses Defendant's principal objections below.

1. Motion to Compel

Defendant contends that Plaintiff waived any entitlement to fees incurred in connection with the motion to compel because Plaintiff did not request monetary discovery sanctions in the notice of motion as contemplated by Code of Civil Procedure section 2023.040.

The argument is unpersuasive. Plaintiff is not seeking discovery sanctions under section 2023.040. Plaintiff seeks attorney's fees under Civil Code section 1794, subdivision (d), for fees reasonably incurred in prosecuting the Song-Beverly action. The absence of a request for discovery sanctions does not preclude recovery of reasonable fees incurred in prosecuting a successful discovery motion.

The motion to compel was granted in pertinent part. The Court finds that the time spent on the motion, including meet-and-confer efforts, briefing, and the hearing, was reasonably incurred. No reduction is warranted.

2. Clerical and Administrative Tasks

Defendant challenges entries involving calendaring, receipt and review of documents, and preparation of proofs of service.

Reviewing pleadings, discovery, correspondence, court orders, and other litigation materials may constitute substantive legal work when it requires professional judgment. Purely ministerial tasks, however, are not reasonably compensable at attorney billing rates.

The Court has reviewed the challenged entries and finds that a modest reduction of $300 adequately accounts for time that appears to have been administrative or ministerial in nature.

3. Allegedly Unintelligible Entries

Defendant challenges entries concerning review of technical service bulletins, recalls, campaigns, and repair history.

The Court finds these entries sufficiently described and reasonably related to the prosecution of the Song-Beverly claims. Review of the vehicle's repair history and technical information is substantive work relevant to the alleged defects, repair attempts, and Defendant's obligations under the Act. No additional reduction is warranted.

4. Billing Review and Redaction

Defendant challenges time spent reviewing billing records and redacting privileged or confidential information.

Reasonable time spent establishing and defending a statutory fee claim is compensable. (*Ketchum v. Moses* (2001) 24 Cal.4th 1122, 1133–1134.) The Court finds the time claimed for billing review and redaction reasonable under the circumstances. No additional reduction is warranted.

5. Preparation of Fee Motion and Reply

Plaintiff may recover reasonable fees incurred in establishing its entitlement to attorney's fees. (*Ketchum v. Moses*, supra, 24 Cal.4th at pp. 1133–1134.)

The Court has reviewed the time incurred in preparing the fee motion and reply. The Court finds the additional time identified in the Supplemental Declaration of Carey B. Wood to be reasonable. The Court also finds reasonable additional time for preparation and attendance at the hearing.

The fee award shall therefore include the reasonable time incurred in connection with the fee motion, reply, and hearing (if applicable)

D. Lodestar Calculation

The Court finds that the hours reasonably expended should be calculated using the hourly rates set forth above. The Court further finds that a $300 reduction is appropriate to account for ministerial or administrative tasks.

Plaintiff does not request a positive multiplier. Defendant requests a negative adjustment.

The Court declines to apply a negative multiplier. The Court has already accounted for the specific billing entries it finds unreasonable by reducing the lodestar by $300. The remaining hours were reasonably related to the prosecution of the action.

This was not a case involving substantial overstaffing or unnecessary duplication. The bulk of the work was performed by a single associate, with limited involvement by other attorneys. The litigation also included a contested discovery motion that was granted in pertinent part. Under the circumstances, the Court finds no case-specific basis for applying a further negative adjustment to the lodestar.

F. Costs

Plaintiff filed a Memorandum of Costs seeking $1,186.53. Defendant did not timely move to strike or tax the claimed costs as provided by California Rules of Court, rule 3.1700(b)(1).

Accordingly, Defendant has forfeited its opportunity to challenge the claimed costs through a motion to tax. The Court will award reasonable and properly supported costs.

Plaintiff shall provide supporting documentation for the claimed costs with its proposed order.

V. DISPOSITION

Good cause appearing, IT IS HEREBY ORDERED:

5. Plaintiff's Motion for Attorney's Fees, Costs, and Expenses is GRANTED IN PART.
6. In calculating the attorney-fee award, Plaintiff shall apply the rates set forth above to the hours found reasonable by the Court and
7. deduct $300 for ministerial or administrative tasks.
8. No lodestar multiplier or negative multiplier shall be applied.
9. Plaintiff shall prepare, serve, and submit a proposed order consistent with this ruling, including the recalculated attorney-fee award, accompanied by the necessary Forms EFS-020, within seven (7) days of the hearing.

IT IS SO ORDERED.

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Calendar Line 6
Case Name: *RS Lending, Inc. et al. v. Lamb Partners LLC et al.*
Case No.: 24CV441663

I. BACKGROUND

On June 21, 2024, Plaintiffs RS Lending, Inc. ("RSL") and IIRR Management Services, LLC ("IMS") (collectively, "Plaintiffs") initiated this action against Defendants Lamb Partners LLC ("LP"), LPG 405 Alberto Way Residential LLC ("AWR"), Randolph F. Lamb ("Randolph"), and Lisa Carey-Lamb ("Lisa") (collectively, "Defendants").

On July 16, 2024, Plaintiffs filed the operative First Amended Complaint ("FAC"). According to the FAC, RealtyShares, Inc. was an investment platform for real estate crowdfunding services that created subsidiary entities, including RSL, to participate in real estate transactions. RealtyShares, Inc. was liquidated following a final bankruptcy order in July 2023, but its subsidiary entities remained active in ongoing real estate projects.

In the subject transaction, AWR was the operating LLC, RSL was the Preferred Member, and LP was the Managing Member. Randolph and Lisa were guarantors of LP's performance of its obligations under the Operating Agreement ("OA").

In March 2023, RSL and LP entered into a First Amended and Restated Operating Agreement ("AOA"), under which AWR was to develop and maintain real property in Los Gatos, California. RSL contributed $2,350,824 in capital. The AOA provided for a Preferred Return of 18 percent per annum, subject to specified deadlines and a one-time 90-day extension upon payment of a $10,000 extension fee. RSL was also entitled to return of its initial capital contribution. RSL alleges it received no payments.

In September 2023, the parties executed an Agreement for Extension of Time to Pay Preferred Return ("Extension"), pursuant to which LP received an additional 90 days to make payment. LP paid part of the extension fee but otherwise failed to make the required payments.

Plaintiffs thereafter filed an earlier action. Following a demand for mediation, Plaintiffs dismissed that action and the parties entered into a Settlement Agreement. Under the Settlement Agreement, LP and/or AWR agreed to make four specified payments to RSL. LP made the first payment but no further payments.

Plaintiffs subsequently filed this action, asserting two causes of action: (1) breach of the Settlement Agreement against LP and AWR; and (2) breach of the AOA and Extension against Randolph and Lisa.

On June 3, 2026, Plaintiffs moved for summary judgment, or in the alternative, summary adjudication. LP, Randolph, and Lisa oppose the motion. Plaintiffs filed a reply.

II. LEGAL STANDARD

A motion for summary judgment "shall be granted if all the papers submitted show that there is no triable issue as to any material fact and that the moving party is entitled to a judgment as a matter of law." (Code Civ. Proc., § 437c, subd. (c).)

The moving party bears the initial burden of production to make a prima facie showing of the nonexistence of any triable issue of material fact. (*Aguilar v. Atlantic Richfield Co.* (2001) 25 Cal.4th 826, 850.) If the moving party meets that burden, the burden shifts to the opposing party to make a prima facie showing of a triable issue of material fact. (*Ibid.*) In determining whether a triable issue exists, the Court considers all the evidence and all reasonable inferences drawn from it, strictly construing the moving party's evidence and liberally construing the opposing party's evidence. (*Id.* at pp. 843, 850.)

"To prevail on a cause of action for breach of contract, the plaintiff must prove (1) the contract, (2) the plaintiff's performance of the contract or excuse for nonperformance, (3) the defendant's breach, and (4) the resulting damage to the plaintiff." (*Richman v. Hartley* (2014) 224 Cal.App.4th 1182, 1186.)

FIRST CAUSE OF ACTION: BREACH OF SETTLEMENT AGREEMENT

Plaintiffs move for summary judgment on their first cause of action against LP and AWR.

Plaintiffs submit evidence that, following mediation, Plaintiffs, LP, and AWR entered into the Settlement Agreement on March 19, 2024. Under the Settlement Agreement, LP and/or AWR agreed to make four payments to RSL: $250,000 by March 31, 2024; $250,000 by April 30, 2024; $250,000 by May 31, 2024; and $2,164,248.66 by June 30, 2024. LP made the first payment of $250,000 on April 15, 2024, but made no further payments. Plaintiffs also submit evidence that the Subject Property was foreclosed upon and sold, but RSL received no proceeds from the sale. (UMFs 32-34, 38.)

A settlement agreement is subject to the general principles governing contracts. (*Kaufman v. Goldman* (2011) 195 Cal.App.4th 734, 745.) Thus, Plaintiffs must establish the existence of the Settlement Agreement, their performance or excuse for nonperformance, Defendants' breach, and resulting damages. (*Richman*, supra, 224 Cal.App.4th at p. 1186.)

The present record establishes the existence of the Settlement Agreement and evidence of LP's failure to make the required payments. The record, however, does not adequately establish Plaintiffs' performance or excuse for nonperformance, or the consideration supporting the Settlement Agreement.

An enforceable contract requires consideration supporting the promises exchanged. (*Passante v. McWilliam* (1997) 53 Cal.App.4th 1240, 1247.) The consideration must be bargained for and given in exchange for the promise. (*Simmons v. California Institute of Technology* (1949) 34 Cal.2d 264, 272.) Plaintiffs do not identify in their separate statement evidence establishing what consideration was exchanged for the Settlement Agreement. Nor do Plaintiffs identify evidence establishing their performance under the Settlement Agreement or an excuse for any nonperformance.

The record does state that Plaintiffs had previously filed an action, that the action was dismissed after the parties agreed to mediate, and that the parties thereafter entered into the Settlement Agreement. But the present motion does not adequately establish, through admissible evidence and the separate statement, whether the dismissal of the prior action, a release of claims, mutual promises, or some other act constituted the bargained-for consideration for the Settlement Agreement. The Court cannot infer an essential element of Plaintiffs' contract claim merely from the existence of a settlement following mediation.

The Settlement Agreement further provides that, upon breach, IRM "may apply for entry of judgment for the balance due as set forth in paragraph 1." (FAC, Ex. E, § 3.) The existence of that provision does not, by itself, establish that Plaintiffs have proved the elements of their separate breach-of-contract claim. Nor does the present record establish whether the stipulated-judgment procedure was intended to be the exclusive remedy for breach.

Because Plaintiffs have not met their initial burden of establishing all elements of their first cause of action, the Court need not determine whether Defendants have established a triable issue of material fact.

Accordingly, Plaintiffs' motion for summary judgment is DENIED. Plaintiffs' alternative motion for summary adjudication of the first cause of action is likewise DENIED.

SECOND CAUSE OF ACTION: BREACH OF AOA AND EXTENSION

<u>Plaintiffs' Initial Burden</u>

Plaintiffs move for summary adjudication of their second cause of action against Randolph and Lisa.

Plaintiffs submit evidence that RSL and LP entered into the AOA on March 3, 2023; LP was the manager of AWR; RSL contributed $2,350,824 in capital; the AOA provided for a Preferred Return; and RSL did not receive the amounts due. The AOA was subsequently extended for an additional 90 days pursuant to the Extension. (UMFs 1, 5-6, 11, 13-17.)

Plaintiffs further submit evidence that Randolph and Lisa executed the AOA as guarantors of LP's obligations. The guaranty provision states that Randolph and Lisa are jointly and severally liable to RSL for the Company's failure to pay amounts due under the AOA. The Extension was signed by Randolph as managing member of AWR and by Randolph and Lisa as guarantors. RSL did not receive the required payments. (UMFs 20-28.)

Plaintiffs have therefore met their initial burden of establishing the existence of the agreements, their performance by providing the capital contribution, Randolph and Lisa's guaranty obligations, Defendants' failure to make the required payments, and resulting damages.

The burden shifts to Defendants.

Defendants' Opposition

Defendants first dispute that the AOA had a 90-day term. They contend that if a purchase could not take place within 90 days, LP had the option to extend the purchase window by an additional 90 days in exchange for $10,000. The language of section 2.7, however, provides that purchase of RSL's units was to occur "no later than 90 days from the Effective Date, unless otherwise extended" by a one-time extension. (FAC, Ex. B, § 2.7.) The Extension was subsequently executed. Thus, this argument does not establish a triable issue concerning Defendants' obligation to make the required payment.

Defendants next contend that the Extension was superseded and rendered null and void by paragraph 6 of the Settlement Agreement. The Settlement Agreement provides that it supersedes prior agreements between the "Parties" and contains the entire agreement between them. (FAC, Ex. E, § 6.) The Settlement Agreement, however, identifies the "Parties" as IRM, RSL, LP, and AWR. Randolph and Lisa are not parties to the Settlement Agreement. Accordingly, paragraph 6 does not establish that Randolph and Lisa's separate guaranty obligations under the AOA and Extension were extinguished.

Finally, Defendants contend that Randolph and Lisa are not guarantors because the signature block of the AOA states that they executed the agreement "Solely for purposes of Section 2.2(3)," while the AOA contains no section 2.2(3).

This argument is unpersuasive. Section 2.1(3) expressly identifies Randolph and Lisa as the "Guarantors" and provides that they are jointly and severally liable to RSL for the Company's failure to pay amounts due under the AOA. The provision further refers expressly to "the guaranties contained in this section 2.1(3)." (FAC, Ex. B, § 2.1(3).) Immediately thereafter, the signature block identifies Randolph and Lisa as "GUARANTORS," but contains the erroneous reference to section 2.2(3). There is no section 2.2(3) in the AOA.

The agreement must be construed as a whole and, where possible, in a manner that gives effect to the parties' intent. (*The H.N. & Frances C. Berger Foundation v. Perez* (2013) 218 Cal.App.4th 37, 44.) Here, the only reasonable reading of the agreement is that the reference to section 2.2(3) in the signature block was a typographical error referring to section 2.1(3). Section 2.1(3) contains the substantive guaranty; it expressly identifies Randolph and Lisa as guarantors; and the signature block immediately following that provision identifies them as "GUARANTORS." The erroneous cross-reference does not negate the substantive guaranty provision.

Defendants identify no other basis for disputing the enforceability of the guaranty or Plaintiffs' evidence that the guaranteed amounts remain unpaid. Accordingly, Defendants have failed to establish a triable issue of material fact.

DISPOSITION

Plaintiffs' motion for summary adjudication of the second cause of action is GRANTED.

Plaintiffs' motion for summary judgment is DENIED because Plaintiffs have not established their first cause of action for breach of the Settlement Agreement as a matter of law.

The Court will prepare the final Order.

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Calendar Line 7 - 8
Case Name: *Helgah V. Yeff v. Alexander Grinberg, M.D.*
Case No.: 24-CV-443748

Special Motion to Strike and Demurrer to the First Amended Cross-Complaint by Cross-Defendants Helgah V. Yeff, James M. Barrett, and Law Office of James M. Barrett, PLC

Factual and Procedural Background

This is a cross-action for breach of contract, extortion, and related claims brought by cross-complainant Alexander Grinberg ("Grinberg") against Helgah V. Yeff ("Yeff"), James M. Barrett ("Barrett"), and Law Office of James M. Barrett, PLC ("Law Office") (collectively, "Cross-Defendants").

According to the first amended cross-complaint ("FACC"), on August 28, 2023, Yeff entered into a written contract with Grinberg. (FACC at ¶¶ 3, 15, Ex. A.) At the time, Yeff was involved in a litigation matter titled *Kipnis v. Yeff* (case nos. 18CV337737 & 19CV344363) ("*Kipnis Lawsuit*") and had been represented by attorney Barrett who practices through his corporate entity Law Office. (Id. at ¶ 3.)

Under the contract, Grinberg invoiced Yeff for a total of $34,250, of which only the initial deposit was paid by check from the Law Office, leaving the remaining balance of $24,250 unpaid and outstanding. (FACC at ¶ 4.)

On October 15, 2023, Yeff settled her claims with the Kipnis parties. (FACC at ¶ 5.) Under the settlement, Yeff obtained over a million dollars, then estimated at $1,010,008.91. (Ibid.)

Despite receiving over a million dollars in settlement, Yeff declined to pay Grinberg his fee under the contract. (FACC at ¶ 6.) Instead, Yeff and attorney Barrett attempted to scare Grinberg away and drop his demands to obtain payment, by telling him in writing on November 6, 2023 "that Ms. Yeff intends to file … a Medical Board Claim for your ethical violations, as well as notification to all medical professionals that you work with of your failures in this matter." (Ibid.) That statement was immediately followed by a monetary demand. (Ibid.)

The "ethical violations" in the November 6 demand refer to the fabricated claim that Grinberg purportedly submitted an expert disclosure with no less than two versions of his resume attached to it, including one of them mentioning under "Examinations/Licensure" medical licenses in states Pennsylvania, New York, and Florida. (FACC at ¶ 8.) In fact, the disclosure drafted by attorney Barrett and the Law Office was sent to Grinberg for signature without any attachments. (Id. at ¶ 9.) Said attachments were added to the final and signed document after the fact. (Id. at ¶ 10.)

On November 15, 2023, in following up on the November 6 demand, attorney Barrett sent an email to Grinberg stating in part:

> “This will be your last notification prior to further action by Ms. Yeff. You have failed to respond, which leaves little choice but to move forward. The State Medical Board will have a complaint filed initially.” (FACC at ¶ 7, Ex. C.)

In the underlying action, Yeff retained Grinberg as a medical expert witness in the *Kipnis Lawsuit*. She alleges that Grinberg failed to disclose that he was not qualified due to violations of the licensing boards of four states. As a consequence, Yeff was forced to settle the *Kipnis Lawsuit* for a fraction of what it was worth.

On August 21, 2025, Grinberg filed the operative FACC against Cross-Defendants alleging causes of action for:

- Breach of Contract;
- Breach of Implied Covenant of Good Faith and Fair Dealing;
- Unfair Business Practices under Bus. & Prof. Code sections 17200, et seq.;
- Extortion Through Threatening Letters;
- Defamation;
- Intentional Interference with Contractual Relations;
- Negligent Interference with Prospective Economic Relations;
- Equitable Indemnification;
- Contribution; and
- Conspiracy to Commit Extortion.

On September 11, 2025, Cross-Defendants filed the motions presently before the court, a special motion to strike and demurrer to the FACC. Grinberg filed written oppositions and a request for judicial notice. Cross-Defendants filed reply papers.[6]

A case status review is also scheduled for August 14, 2026.

Special Motion to Strike to the FACC

Cross-Defendants move to strike each cause of action in the FACC on the ground that the pleading arises from protected activity and Grinberg will be unable to demonstrate a probability of success on the merits.

Request for Judicial Notice

Grinberg’s request for judicial notice is GRANTED. (Evid. Code, § 452, subd. (d); see *Stepan v. Garcia* (1974) 43 Cal.App.3d 497, 500 [the court may take judicial notice of its own file].)

Legal Standard

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[6] The court declines to consider the reply declaration of attorney Barrett in support of the special motion to strike as it constitutes new evidence being raised for the first time in the reply papers. (See *Jay v. Mahaffey* (2013) 218 Cal.App.4th 1522, 1537 [the general rule of motion practice is that new evidence is not permitted with reply papers]; *Nazir v. United Airlines, Inc.* (2009) 178 Cal.App.4th 243, 252 [improper to introduce new evidence in reply].)

Code of Civil Procedure section 425.16 provides for a "special motion to strike" when a plaintiff's claims arise from certain acts constituting the exercise of the constitutional rights of freedom of speech and petition for the redress of grievances, "unless the court determines that the plaintiff has established that there is a probability that the plaintiff will prevail on the claim." (Code Civ. Proc., § 425.16, subds. (a) & (b)(1).)

"Consistent with the statutory scheme, ruling on an anti-SLAPP motion involves a two-step procedure. First, the moving defendant must identify 'all allegations of protected activity' and show that the challenged claim arises from that activity. [Citations.] Second, if the defendant makes such a showing, the 'burden shifts to the plaintiff to demonstrate that each challenged claim based on protected activity is legally sufficient and factually substantiated.' [Citation.] Without resolving evidentiary conflicts, the court determines 'whether the plaintiff's showing, if accepted by the trier of fact, would be sufficient to sustain a favorable judgment.' [Citation.]" (*Bel Air Internet, LLC v. Morales* (2018) 20 Cal.App.5th 924, 934.)

First Prong: Protected Activity

<u>Law</u>

"A defendant meets his or her burden on the first step of the anti-SLAPP analysis by demonstrating the acts underlying the plaintiff's cause of action fall within one of the four categories spelled out in [Code of Civil Procedure] section 425.16, subdivision (e)." (*Collier v. Harris* (2015) 240 Cal.App.4th 41, 50-51 (*Collier*).) That section provides that an "act in furtherance of a person's right of petition or free speech under the United States or California Constitution in connection with a public issue includes: (1) any written or oral statement or writing made before a legislative, executive, or judicial proceeding, or any other official proceeding authorized by law, (2) any written or oral statement made in connection with an issue under consideration or review by a legislative, executive, or judicial body, or any other official proceeding authorized by law, (3) any written or oral statement or writing made in a place open to the public or a public forum in connection with an issue of public interest, or (4) any other conduct in furtherance of the exercise of the constitutional right of petition or the constitutional right of free speech in connection with a public issue or an issue of public interest." (Code Civ. Proc., § 425.16, subd. (e).) "These categories define the scope of the anti-SLAPP statute by listing acts which constitute an 'act in furtherance of a person's right of petition or free speech under the United States or California Constitution in connection with a public issue.' " (*Collier, supra,* 240 Cal.App.4th at p. 51, citing Code Civ. Proc., § 425.16, subd. (e).)

"A claim arises from protected activity when that activity underlies or forms the basis for the claim. [Citations.] Critically, 'the defendant's act underlying the plaintiff's cause of action must itself have been an act in furtherance of the right of petition or free speech.' [Citations.] '[T]he mere fact that an action was filed after protected activity took place does not mean the action arose from that activity for the purposes of the anti-SLAPP statute.' [Citations.] Instead, the focus is on determining what 'the defendant's activity [is] that gives rise to his or her asserted liability—and whether that activity constitutes protected speech or petitioning.' [Citation.]" (*Park v. Board of Trustees of California State University* (2017) 2 Cal.5th 1057, 1062-1063 (*Park*).)

“[A] claim may be struck only if the speech or petitioning activity itself is the wrong complained of, and not just evidence of liability or a step leading to some different act for which liability is asserted.” (*Park, supra,* 2 Cal.5th at p. 1060.) To determine whether the speech constitutes the wrong itself or is merely evidence of a wrong, “in ruling on an anti-SLAPP motion, courts should consider the elements of the challenged claim and what actions by defendant supply those elements and consequently form the basis for liability.” (*Id.* at p. 1063.)

“In deciding whether the ‘arising from’ requirement is met, a court considers ‘the pleadings, and supporting and opposing affidavits stating the facts upon which the liability or defense is based.’ ” (*Peregrine Funding, Inc. v. Sheppard Mullin Richter & Hampton LLP* (2005) 133 Cal.App.4th 658, 670.)

<u>Analysis</u>

“Where a defendant moves to strike the entire complaint and fails to identify, with reasoned argument, specific claims for relief that are asserted to arise from protected activity, the defendant does not carry his or her first-step burden so long as the complaint presents at least one claim that does not arise from protected activity.” (*Park v. Nazari* (2023) 93 Cal.App.5th 1099, 1108 (*Nazari*).)

“[W]hile courts may strike less than the entirety of a complaint or pleaded cause of action, the trial court is not required to take on the burden of identifying the allegations susceptible to a special motion to strike. If a defendant wants the trial court to take a surgical approach, whether in the alternative or not, the defendant must propose where to make the incisions. **This is done by identifying, in the initial motion, each numbered paragraph or sentence in the complaint that comprises a challenged claim and explaining ‘the claim’s elements, the actions alleged to establish those elements, and wh[y] those actions are protected**.’ [Citation.]” (*Nazari, supra,* 93 Cal.App.5th at p. 1109, emphasis added.)

More recently, in *Pechkis v. Trustees of California State University* (2026) 119 Cal.App.5th 497 (*Pechkis*), the Third Appellate District affirmed the trial court’s denial of a special motion to strike two retaliation causes of action because the challenged claims were not shown to arise exclusively from protected conduct:

> “Through an elemental analysis, the speech must form the basis of liability for the two challenged causes of action. [Citation.] **Defendant provides no analysis of the elements necessary to prove each cause of action, how allegations related to the speech supply the necessary elements of each cause of action, and whether there are other allegations supporting the cause of action that are not protected conduct. Defendant incorrectly assumes one drop of protected conduct fatally poisons both challenged causes of action**.” (*Pechkis, supra,* at p. 506, emphasis added.)

Here, Cross-Defendants argue each cause of action in the FACC arises from protected activity under Code of Civil Procedure section 425.16, subdivision (e)(1) – (4). (See Motion at pp. 6:15-7:4.) They further contend that:

> “**Here Prong One is satisfied** where the Court record reveals that *all* cause of actions in GRINBERG’s FACC arose from the protected activity of YEFF’s suit against

> GRINBERG wherein he was a medical expert in her original litigation wherein all conduct took place." (Id. at p. 7:21-24.)

But, like *Nazari* and *Pechkis*, Cross-Defendants do not set forth any analysis of the elements necessary to prove each cause of action and explain how those allegations constitute protected activity. In reply, Cross-Defendants appear to narrow their focus to the fifth, sixth, seventh, eighth, ninth, and tenth causes of action as arising from protected activity under section 425.16, subdivision (e)(2). (See Reply at pp. 2:16-21, 3:13-20.) Even so, the argument in reply, like the moving papers, remains undeveloped and fails to specifically identify the protected activity in each cause of action. (See *Allen v. City of Sacramento* (2015) 234 Cal.App.4th 41, 52 ["We are not required to examine undeveloped claims or to supply arguments for the litigants"].)

Nor does characterizing the FACC as a retaliatory pleading transform each cause of action into protected activity:

> "It is not sufficient that the challenged cross-claims were filed in response to the cross-defendant's claims. [Citation.] Likewise, it is not sufficient that the cross-claims may have been triggered by, or filed in retaliation for, the cross-defendant's litigation conduct. [Citation.] Otherwise, nearly all cross-claims would satisfy the first prong of the anti-SLAPP statute's two-step analysis, regardless of what conduct in fact forms the basis for the cross-claims. [Citation.] Instead, the focus under section 425.16's first prong is on the cross-defendant's conduct that gives rise to his or her asserted liability, and whether that conduct constitutes protected speech or petitioning activity. [Citations.] 'In short, in ruling on an anti-SLAPP motion, courts should consider the elements of the challenged claim and what actions by the [moving party] supply those elements and consequently form the basis for liability.' [Citation.]" (*Gumarang v. Braemer on Raymond, LLC* (2025) 110 Cal.App.5th 370, 382.)

Furthermore, the motion's extensive discussion of the litigation privilege does not have any bearing on the first prong as that defense is addressed only in connection with the second prong regarding whether Grinberg can establish a probability of success on the merits of his claims. (See *G.R. v. Intelligator* (2010) 185 Cal.App.4th 606, 617 ["[T]he litigation privilege has bearing upon the second prong of the Code of Civil Procedure section 425.16 test."]; see also *Birkner v. Lam* (2007) 156 Cal.App.4th 275, 284 [affirmative defenses, such as the litigation privilege, are not relevant to the first-prong inquiry].) The court however need not consider the second prong as Cross-Defendants fail to meet their initial burden in demonstrating that each cause of action in the FACC arises from protected activity. (See *Nam v. Regents of University of California* (2016) 1 Cal.App.5th 1176, 1185 ["If defendant fails to meet its burden, we need not assess plaintiff's likelihood of prevailing on the merits."].)

Consequently, the special motion to strike the FACC is DENIED. (See *Shahbazian v. City of Rancho Palos Verdes* (2017) 17 Cal.App.5th 823, 830 ["If the moving party fails to demonstrate that any of the challenged causes of action arise from protected activity, the court denies the motion."].) Having denied the motion on its merits, the court declines to consider Grinberg's timeliness argument raised in opposition.

Request for Attorney's Fees and Costs

Cross-Defendants' request for attorney's fees and costs is DENIED as they did not prevail on the merits of the special motion to strike.

Demurrer to the FACC

Cross-Defendants argue each cause of action in the FACC is subject to demurrer on the following grounds: (1) failure to state a cause of action; (2) uncertainty; and (3) the claims are barred by the litigation privilege.

Legal Standard

A complaint must contain substantive factual allegations sufficiently apprising the defendant of the issues to be addressed. (*Williams v. Beechnut Nutrition Corp.* (1986) 185 Cal.App.3d 135, 139, fn. 2 (*Williams*).)

"In reviewing the sufficiency of a complaint against a general demurrer, we are guided by long settled rules. 'We treat the demurrer as admitting all material facts properly pleaded, but not contentions, deductions or conclusions of fact or law. [Citation.] We also consider matters which may be judicially noticed.' [Citation.] Further, we give the complaint a reasonable interpretation, reading it as a whole and its parts in their context. [Citation.]" (*Blank v. Kirwan* (1985) 39 Cal.3d 311, 318.)

" 'It is not the ordinary function of a demurrer to test the truth of the plaintiff's allegations or the accuracy with which he describes the defendant's conduct. A demurrer tests only the legal sufficiency of the pleading. [Citation.]' [Citation.] In reviewing the ruling on a demurrer, 'the question of plaintiff's ability to prove these allegations, or the possible difficulty in making such proof does not concern the reviewing court [citations] … .' [Citation.] 'To survive a demurrer, the complaint need only allege facts sufficient to state a cause of action; each evidentiary fact that might eventually form part of the plaintiff's proof need not be alleged. [Citation.]' [Citation.] A complaint's allegations are construed liberally in favor of the pleader. [Citations.]" (*Ferrick v. Santa Clara University* (2014) 231 Cal.App.4th 1337, 1341.)

Also, " 'it is error for a trial court to sustain a demurrer when the plaintiff has stated a cause of action under any possible legal theory. [Citation.] And it is an abuse of discretion to sustain a demurrer without leave to amend if the plaintiff shows there is a reasonable possibility any defect identified by the defendant can be cured by amendment.' [Citations.]" (*Gregory v. Albertson's, Inc.* (2002) 104 Cal.App.4th 845, 850.)

Failure to State a Cause of Action

" 'The absence of any allegation essential to a cause of action renders it vulnerable to a general demurrer. A ruling on a general demurrer is thus a method of deciding the merits of the cause of action on assumed facts without a trial.' [Citation.] 'Conversely, a general demurrer will be overruled if the complaint contains allegations of every fact essential to the statement of a cause of action, regardless of mistaken theory or imperfections of form that make it subject to special demurrer.' [Citation.]" (*Morris v. JPMorgan Chase Bank, N.A.* (2022) 78 Cal.App.5th 279, 291-292 (*Morris*).)

"A complaint, with certain exceptions, need only contain a 'statement of the facts constituting the cause of action, in ordinary and concise language' [citation] and will be upheld ' "so long as [it] gives notice of the issues sufficient to enable preparation of a defense."
' [Citation.] '[T]o withstand a demurrer, a complaint must allege ultimate facts, not evidentiary facts or conclusions of law.' [Citation.]" (*Morris, supra,* 78 Cal.App.5th at p. 292.)

First Cause of Action: Breach of Contract

To prevail on a cause of action for breach of contract, the plaintiff must allege and prove: (1) the contract, (2) the plaintiff's performance of the contract or excuse for nonperformance, (3) the defendant's breach, and (4) the resulting damage to the plaintiff. (*Richman v. Hartley* (2014) 224 Cal.App.4th 1182, 1186.)

Cross-Defendants argue the first cause of action fails to state a claim as Grinberg does not allege which terms of the contract were breached. This argument however is not persuasive as Grinberg alleges Yeff breached the written contract by failing to make payment for services in the amount of $24,250. (FACC at ¶¶ 15-20.)
Therefore, the demurrer to the first cause of action on the ground that it fails to state a valid claim is OVERRULED.

Second Cause of Action: Breach of Implied Covenant of Good Faith and Fair Dealing

"[E]very contract imposes upon each party a duty of good faith and fair dealing in the performance of the contract such that neither party shall do anything which will have the effect of destroying or injuring the right of the other party to receive the fruits of the contract." (*Storek & Storek, Inc. v. Citicorp Real Estate, Inc.* (2002) 100 Cal.App.4th 44, 55.)

"The implied covenant of good faith and fair dealing rests upon the existence of some specific contractual obligation." (*Racine & Laramie, Ltd. v. Department of Parks & Recreation* (1992) 11 Cal.App.4th 1026, 1031.) "The covenant of good faith is read into contracts in order to protect the express covenants or promises of the contract, not to protect some general public policy interest not directly tied to the contract's purpose." (*Foley v. Interactive Data Corp.* (1988) 47 Cal.3d 654, 690.) "In essence, the covenant is implied as a *supplement* to the express contractual covenants, to prevent a contracting party from engaging in conduct which (while not technically transgressing the express covenants) frustrates the other party's rights to the benefits of the contract." (*Love v. Fire Ins. Exchange* (1990) 221 Cal.App.3d 1136, 1153.)

"In California, the factual elements necessary to establish a breach of the covenant of good faith and fair dealing are: (1) the parties entered into a contract; (2) the plaintiff fulfilled his obligations under the contract; (3) any conditions precedent to the defendant's performance occurred; (4) the defendant unfairly interfered with the plaintiff's rights to receive the benefits of the contract; and (5) the plaintiff was harmed by the defendant's conduct." (*Rosenfeld v. JPMorgan Chase Bank, N.A.* (N.D. Cal. 2010) 732 F. Supp.2d 952, 968; CACI No. 325.)

Here, Cross-Defendants do not set forth any substantive argument addressing the second cause of action on the ground that it fails to state a claim in their supporting memorandum of points and authorities. (See *Mangano v. Verity, Inc.* (2009) 179 Cal.App.4th 217, 222, fn. 6 ["He provides no substantive argument or citation to authority to support this contention, and we therefore deem it abandoned."]; see also *Trinity Risk Management, LLC v. Simplified Labor Staffing Solutions, Inc.* (2021) 59 Cal.App.5th 995, 1008 ["[F]ailure to offer reasoned analysis of the issue constitutes a waiver."].)

Accordingly, the demurrer to the second cause of action on the ground that it fails to state a valid claim is OVERRULED.

Third Cause of Action: Unfair Business Practices

"The UCL defines 'unfair competition' to 'mean and include any unlawful, unfair or fraudulent business act or practice and unfair, deceptive, untrue or misleading advertising' and any act prohibited by [Business and Professions Code] section 17500. [Citation.]" (*Searle v. Wyndham Int'l* (2002) 102 Cal.App.4th 1327, 1332-1333 (*Searle*).) "Section 17200 'is not confined to anticompetitive business practices, but is also directed toward the public's right to protection from fraud, deceit, and unlawful conduct. [Citation.] Thus, California courts have consistently interpreted the language of section 17200 broadly.' [Citation.]" (*South Bay Chevrolet v. General Motors Acceptance Corp.* (1999) 72 Cal.App.4th 861, 877-878.) "The statute prohibits 'wrongful business conduct in whatever context such activity might occur.' [Citation.]" (*Searle, supra,* at 102 Cal.App.4th at p. 1333.)

Here, Cross-Defendants assert the UCL cause of action fails because Grinberg does not allege the terms of the subject contract. But, the court overruled the pleading challenge on demurrer to the first cause of action for reasons articulated above. Nor does Grinberg need to allege the contract terms verbatim in the pleading as the alleged contract is attached to the FACC. (See FACC at Ex. A; see also *Otworth v. Southern Pac. Transportation Co.* (1985) 166 Cal.App.3d 452, 459 ["If the action is based on an alleged breach of a written contract, the terms must be set out verbatim in the body of the complaint or a copy of the written instrument must be attached and incorporated by reference."].)

Consequently, the demurrer to the third cause of action on the ground that it fails to state a valid claim is OVERRULED.

Fourth Cause of Action: Extortion

Extortion is defined as "the obtaining of property from another, with his consent … induced by a wrongful use of force or fear …" (Pen. Code, § 518.) It includes "the making of threats that, in and of themselves, may not be illegal," but which " 'nevertheless becomes illegal when coupled with a demand for money.' " (*Flatley v. Mauro* (2006) 39 Cal.4th 299, 326.) Although extortion is a crime, case law has recognized the existence of a civil cause of action for extortion. (*Ibid.*; *Fuhrman v. California Satellite Systems* (1986) 179 Cal.App.3d 408, 426 (*Fuhrman*) ["However denominated (e.g., extortion, menace, duress), our Supreme Court has recognized a cause of action for the recovery of money obtained by the wrongful threat of criminal or civil prosecution"], disapproved on another ground in *Silberg v. Anderson* (1990) 50 Cal.3d 205, 219.)

A civil cause of action for extortion "is essentially a cause of action for moneys [or other consideration] obtained by duress …" (*Fuhrman, supra,* 169 Cal.App.3d at p. 426; see *Leeper v. Beltrami* (1959) 53 Cal.2d 195, 207.) The doctrine "may come into play upon the doing of a wrongful act which is sufficiently coercive to cause a reasonably prudent person …to succumb to the perpetrator's pressure." (*Rich & Whillock, Inc. v. Ashton Development, Inc.* (1984) 157 Cal.App.3d 1154, 1157.)

Here, Cross-Defendants do not provide any substantive argument addressing the fourth cause of action on the ground that it fails to state a claim in their supporting memorandum of points and authorities.

Therefore, the demurrer to the fourth cause of action on the ground that it fails to state a valid claim is OVERRULED.

<u>Fifth Cause of Action: Defamation</u>

"Defamation is an invasion of the interest in reputation. The tort involves the intentional publication of a statement of fact that is false, unprivileged, and has a natural tendency to injure or which causes special damage." (*Smith v. Maldonado* (1999) 72 Cal.App.4th 637, 645.)

Cross-Defendants contend the defamation claim fails because: (1) truth is an absolute defense; and (2) any statements by Yeff and her counsel are protected speech.

"A general demurrer will lie where the complaint 'has included allegations that *clearly* disclose some defense or bar to recovery.' [Citation.]" (*Cryolife, Inc. v. Super. Ct.* (2003) 110 Cal.App.4th 1145, 1152 (*Cryolife*).) In cases of defamation, the truth of the offensive statements or communication is a complete defense against civil liability, regardless of bad faith or malicious purpose. (*Gilbert v. Sykes* (2007) 147 Cal.App.4th 13, 28.)

Here, Cross-Defendants do not identify allegations in the FACC that clearly disclose the defense of truth with respect to the defamation claim. Thus, the defense of truth remains a factual issue that cannot be decided on demurrer. (See *Catsouras v. Department of California Highway* Patrol (2010) 181 Cal.App.4th 856, 889-890 [resolution of factual issues is not appropriate on demurrer].) And, whether the alleged defamatory statements constitute protected speech, is not an issue for general demurrer.

Accordingly, the demurrer to the fifth cause of action on the ground that it fails to state a valid claim is OVERRULED.

<u>Sixth Cause of Action: Intentional Interference with Contractual Relations</u>

"To prevail on a cause of action for intentional interference with contractual relations, a plaintiff must plead and prove (1) the existence of a valid contract between the plaintiff and a third party; (2) the defendant's knowledge of that contract; (3) the defendant's intentional acts designed to induce a breach or disruption of the contractual relationship; (4) actual breach or disruption of the contractual relationship; and (5) resulting damage." (*Reeves v. Hanlon* (2004) 33 Cal.4th 1140, 1148.)

Here, the sixth cause of action is based on alleged interference by attorney Barrett and the Law Office with respect to the written contract entered into between Grinberg and Yeff. (FACC at ¶¶ 54-59.) As stated above, the interference claim requires the existence of a valid contract. On demurrer, Cross-Defendants assert the alleged contract is void because Grinberg had his medical license suspended and thus he was never owed any money and cannot seek damages. Again, this is a factual argument raised by Cross-Defendants which cannot be resolved for purposes of this demurrer.

Consequently, the demurrer to the sixth cause of action on the ground that it fails to state a valid claim is OVERRULED.

<u>Seventh Cause of Action: Negligent Interference with Prospective Economic Relations</u>

"The elements of negligent interference with prospective economic advantage are (1) the existence of an economic relationship between the plaintiff and a third party containing the probability of future economic benefit to the plaintiff; (2) the defendant's knowledge of the relationship; (3) the defendant's knowledge (actual or construed) that the relationship would be disrupted if the defendant failed to act with reasonable care; (4) the defendant's failure to act with reasonable care; (5) actual disruption of the relationship; (6) and economic harm proximately caused by the defendant's negligence." (*Redfearn v. Trader Joe's Co.* (2018) 20 Cal.App.5th 989, 1005.)

On demurrer, Cross-Defendants contend the alleged contract is void because Grinberg had his medical license suspended and thus he was never owed any money and cannot seek damages. The court however considered and rejected this contention in addressing the demurrer to the sixth cause of action.

Therefore, the demurrer to the seventh cause of action on the ground that it fails to state a valid claim is OVERRULED.

<u>Eighth Cause of Action: Equitable Indemnification</u>

"Equitable indemnity, which 'requires no contractual relationship,' ' "is premised on a joint legal obligation to another for damages" '; it is 'subject to allocation of fault principles and comparative equitable apportionment of loss.' [Citation.] ' "The elements of a cause of action for [equitable] indemnity are (1) a showing of fault on the part of the indemnitor and (2) resulting damages to the indemnitee for which the indemnitor is … equitably responsible." ' [Citation.]" (*C.W. Howe Partners Inc. v. Mooradian* (2019) 43 Cal.App.5th 688, 700.)

On demurrer, Cross-Defendants argue the alleged contract is void because Grinberg had his medical license suspended and thus he was never owed any money. But, the court considered and rejected this argument in addressing the demurrer to the sixth cause of action.

Cross-Defendants next assert the indemnity claim is barred by the economic loss rule.

The economic loss rule provides that "where a purchaser's expectations in a sale are frustrated because the product he brought is not working properly, his remedy is said to be in contract alone, for he has suffered only economic losses." (*Robinson Helicopter Company v. Dana Corporation* (2004) 34 Cal.4th 979, 988.) This doctrine hinges on a "distinction drawn between transactions involving the sales of goods for commercial purposes where economic expectations are protected by commercial and contract law, and those involving the sale of defective products to individual consumers who are injured in a manner which has traditionally been remedied by resort to the law of torts." (*Ibid.*) The rule requires a purchaser to recover solely in contract for purely economic loss due to disappointed expectations, unless the purchaser can demonstrate harm above and beyond a broken contractual promise. (*Ibid.*)

In support, Cross-Defendants contend that "[t]he economic loss rule prevents recovery to Grinberg as he would never have been hired by Yeff and her counsel and history of suspended medical licenses in three (3) states; and, accordingly would have been paid zero dollars." (Demurrer at p. 19:10-14.) This contention however is undeveloped as it fails to articulate why the economic loss rule is applicable to the indemnity cause of action.

Furthermore, having reviewed the allegations, the court finds sufficient facts have been pled in support of the equitable indemnity cause of action.

Accordingly, the demurrer to the eighth cause of action on the ground that it fails to state a valid claim is OVERRULED.

<u>Ninth Cause of Action: Contribution</u>

"Typically, a right to contribution is recognized when two or more persons are liable to the same plaintiff for the same injury and one of the joint tortfeasors has paid more than his fair share of the common liability. Recognition of the right reflects the view that when two or more persons share responsibility for a wrong, it is inequitable to require one to pay the entire costs of reparation, and it is sound policy to deter all wrongdoers by reducing the likelihood that any will entirely escape liability." (*Northwest Airlines v. Transp. Workers Union* (1981) 451 U.S. 77, 87-88.)

Here, Cross-Defendants state there is no contribution where there is not the same level of liability. This position is not supported by citation to legal authority in the memorandum though the court acknowledges this to be a correct statement of law. (See *Pulte Home Corp. v. CBR Electric, Inc.* (2020) 50 Cal.App.5th 216, 234, fn. 4 ["Contribution is available only between obligors who share the same level of liability."].) That said, Cross-Defendants do not advance any substantive argument explaining why the contribution claim fails based on this legal principle and thus their position remains undeveloped for purposes of demurrer.

Consequently, the demurrer to the ninth cause of action on the ground that it fails to state a valid claim is OVERRULED.

<u>Tenth Cause of Action: Conspiracy to Commit Extortion</u>

“There is no separate tort of civil conspiracy and no action for conspiracy to commit a tort unless the underlying tort is committed and damage results therefrom. [Citation.] The significance of a conspiracy theory of liability is that each member may be held jointly liable as a tortfeasor, even though he or she may not have participated directly in the underlying tort. [Citation.] ‘The elements of an action for civil conspiracy are (1) formation and operation of the conspiracy and (2) damage resulting to plaintiff (3) from a wrongful act done in furtherance of the common design.’ [Citation.]” (*Prakashpalan v. Engstrom, Lipscomb & Lack* (2014) 223 Cal.App.4th 1105, 1136.)

Cross-Defendants assert Grinberg cannot establish damages to support conspiracy. This assertion however fails as it relies on factual arguments which cannot be resolved on general demurrer.

Therefore, the demurrer to the tenth cause of action on the ground that it fails to state a valid claim is OVERRULED.

Uncertainty

“ ‘ “[D]emurrers for uncertainty are disfavored, and are granted only if the pleading is incomprehensible that a defendant cannot reasonably respond.” ’ [Citations.] ‘ “A demurrer for uncertainty is strictly construed, even where a complaint is in some respects uncertain, because ambiguities can be clarified under modern discovery procedures.” ’ [Citations.]” (*A.J. Fistes Corp. v. GDL Best Contractors, Inc.* (2019) 38 Cal.App.5th 677, 695.)

“[U]nder our liberal pleading rules, where the complaint contains substantive factual allegations sufficiently apprising defendant of the issues it is being asked to meet, a demurrer for uncertainty should be overruled or plaintiff given leave to amend. (*Williams, supra,* 185 Cal.App.3d at p. 139, fn. 2.)

Here, the arguments in support of the special demurrer for uncertainty are incorporated with the arguments raised on general demurrer for failure to state sufficient facts. The court considered and rejected the arguments on general demurrer with respect to each cause of action for reasons stated above. And, to the extent that any ambiguities exist, the parties may seek further clarification through the process of civil of discovery. (See *Davies v. Super. Ct.* (1984) 36 Cal.3d 291, 299 [purpose of civil discovery is to take game element out of trial preparation and assist parties in obtaining facts and evidence necessary for expeditious resolution of their dispute].)

Accordingly, the demurrer to the FACC on the ground of uncertainty is OVERRULED.

Litigation Privilege

“Civil Code section 47, subdivision (b) defines what is commonly known as the ‘litigation privilege.’ ‘The usual formulation is that the privilege applies to any communication (1) made in judicial or quasi-judicial proceedings; (2) by litigants or other participants authorized by law; (3) to achieve the objects of the litigation; and (4) that have some connection or logical relation to the action.' [Citation.]" (*Kashian v. Harriman* (2002) 98 Cal.App.4th 892, 912 (*Kashian*).)

"The litigation privilege is absolute; it applies, if at all, regardless whether the communication was made with malice or the intent to harm. [Citation.] Put another way, application of the privilege does not depend on the publisher's 'motives, morals, ethics or intent.' [Citation.] Although originally applied only to defamation actions, the privilege has been extended to *any* communication, not just a publication, having 'some relation' to a judicial proceeding, and to all torts other than malicious prosecution. [Citations.]" (*Kashian, supra,* 98 Cal.App.4th at p. 913.)

"The litigation privilege is not limited to the courtroom, but encompasses actions by administrative bodies and quasi-judicial proceedings. [Citation.] The privilege extends beyond statements made in the proceedings, and includes statements made to initiate action. [Citation.]" (*Wise v. Thrifty Payless, Inc.* (2000) 83 Cal.App.4th 1296, 1303.)

"The litigation privilege furthers several public policies. The principal one is ensuring free access to the courts by prohibiting derivative tort actions. [Citation.] The privilege also promotes complete and truthful testimony, encourages zealous advocacy, gives finality to judgments, and avoids unending litigation. [Citation.]" (*Budwin v. American Psychological Assn.* (1994) 24 Cal.App.4th 875, 880.)

The litigation privilege is an acceptable ground for demurrer. (See *Home Ins. Co. v. Zurich Ins. Co.* (2002) 96 Cal.App.4th 17 [sustaining demurrer on ground that litigation privilege barred a fraudulent inducement claim where the inducing statement was made in the course of litigation]; see also *Tom Jones Enterprises, Ltd. v. County of Los Angeles* (2013) 212 Cal.App.4th 1283 [sustaining a demurrer to a negligence cause of action because government employee's release of funds obtained via levy was privileged under Civil Code section 47].)

Here, Cross-Defendants argue, throughout the demurrer, that each and every cause of action is barred by the litigation privilege. For example, the moving papers, in some fashion, repeatedly state that:

> "Every single cause of action within GRINBERG'S FACC entails facts that took place during litigation and pre-litigation, connection to litigation, and in anticipation to litigation, which is completely protected under the litigation privilege pursuant to California Civil Code § 47(b)." (See Demurrer at pp. 14:10-14, 15:7-9, 17:20-24, 18:9-12, 25-28, 19:27-20:2, 20:20-23, 22:2-6.)

But, like the defense of truth, a demurrer based on an affirmative defense will be sustained only where the face of the complaint discloses that the action is necessarily barred by the defense. (*Stella v. Asset Management Consultants, Inc.* (2017) 8 Cal.App.5th 181, 191; *Cryolife, supra,* 110 Cal.App.4th at p. 1152.) The problem is that Cross-Defendants have not persuasively demonstrated to the court that the litigation privilege clearly and affirmatively appears on the face of the FACC and that it necessarily bars all claims being asserted by Grinberg. In fact, one of the required elements for application of the litigation privilege is that the communication have some connection or logical relation to the action:

> "[T]he 'connection or logical relation' which a communication must bear to litigation in order for the privilege to apply, is a *functional* connection. That is to say, the *communicative act* – be it a document filed with the court, a letter between counsel or an oral statement – must function as a necessary or useful step in the litigation process and must serve its purposes. This is a very different thing from saying that the communication's *content* need only be related in some way to the subject matter of the litigation…" (*Rothman v. Jackson* (1996) 49 Cal.App.4th 1134, 1146.)

As the opposition points out, Cross-Defendants do not specifically identify the privileged communicative conduct in each cause of action for the litigation privilege to apply. Thus, the argument is undeveloped and the litigation privilege cannot be decided on the instant demurrer.

Consequently, the demurrer to the FACC on the ground that each cause of action is barred by the litigation privilege is OVERRULED.

<u>Disposition</u>

The special motion to strike the FACC is DENIED.

Cross-Defendants' request for attorney's fees and costs is DENIED.

The demurrer to the FACC is OVERRULED in its entirety.

The Court will prepare the Order.

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Calendar Line 10
Case Name: *Advoque Safeguard, LLC et al. v. Sanctuary Systems, LLC et al*
Case No.: 21CV392455

Defendant Robert Sigler's request for joinder and motion for judgment on the pleadings.

Background Facts

Plaintiffs Advoque Safeguard ("ASG") and Ciasom LLC ("Ciasom"; collectively, "Plaintiffs") manufactured N95 respirators during the COVID-19 pandemic and sued various entities and individuals that were involved in supplying Plaintiffs with mask filtration materials. These entities and individuals include, among others, defendant Robert Sigler.

The first amended complaint ("FAC") alleges the following causes of action against Robert Sigler: (1) negligence; (2) intentional misrepresentation; (3) concealment; (4) false promise; (5) negligent misrepresentation; (6) intentional interference with contractual relations; (7) intentional interference with prospective economic relations; (8) negligent interference with prospective economic relations; (9) conspiracy; and (10) unfair business practices.

On April 14, 2026, the court granted Robert Sigler's motion for summary adjudication of the following causes of action: (1) concealment; (2) false promise; (3) negligent misrepresentation; and (4) unfair business practices.

On August 5, 2026, Robert Sigler filed a combined notice of joinder and motion for judgment on the pleadings.[7] On August 10, 2026, the court granted Robert Sigler's unopposed *ex parte* application to advance the hearing from January 8, 2027 to August 14, 2026. Plaintiffs filed a timely opposition, and Robert Sigler filed a late reply. The court will exercise its discretion in considering the late-filed paper. (*Bozzi v. Nordstrom, Inc.* (2010) 186 Cal.App.4th 755, 765.)

Motion for Judgment on the Pleadings

Legal Standard

A motion for judgment on the pleadings is proper when the complaint does not state facts sufficient to constitute a cause of action against the defendant. (Code Civ. Proc., § 438, subd. (c)(1)(B)(2).) "The grounds for motion provided in this section shall appear on the face of the challenged pleading or from any mater of which the court is required to take judicial notice." (Code Civ. Proc., § 438, subd. (d).) The motion is the functional equivalent of a general demurrer made after the time to demur has expired and more than 30 days before trial.

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[1] Robert Sigler originally attempted to file the combined motion on July 22, 2026. The motion was denied by the clerk's office for having an incorrect hearing date.

(See Code Civ. Proc., § 438; see also *Cloud v. Northrop Grumman Corp.* (1998) 67 Cal.App.4th 995, 999; *Shea Homes Limited Partnership v. County of Alameda* (2003) 110 Cal.App.4th 1246, 1254 (*Shea*).) "The court accepts as true all material factual allegations, giving them a liberal construction, but does not consider conclusions of fact or law, opinions, speculation, or allegations contrary to law or judicially noticed facts." (*Shea, supra*, 110 Cal.App.4th at p. 1254.)

Request for Joinder

A party can be permitted to join in another party's motion, such as a motion for judgment on the pleadings, by filing a joinder and stating that the joining party adopts the requests and the points and authorities contained in the joined motion. (See *Barak v. The Quisenberry Law Firm* (2006) 135 Cal.App.4th 654, 660-661). Here, the joinder impermissibly attempts to raise additional grounds for a motion for judgment on the pleadings. A request for joinder cannot be used to expand or amend a previously filed motion; it may only adopt the requests made in the original motion.

In any event, Robert Sigler cannot adopt the arguments made by defendants Benham Pourdeyhimi and Leaders in Innovation and Nonwovens Commercialization (collectively, "LINC Defendants") in their June 29, 2026 motion, or the arguments made by defendants Sanctuary Systems, LLC, Bryan Sigler, and 305 Consulting (collectively, "Sanctuary Defendants") in their August 4, 2026 motion. Both motions argue that because the fraud claims have been dismissed against them, the causes of action that are predicated on the fraud claims must also be dismissed. Plaintiffs' intentional misrepresentation cause of action remains viable against Robert Sigler.

Robert Sigler's request for joinder is DENIED.

Discussion

Robert Sigler moves for judgment on the pleadings on Plaintiff's intentional interference with contractual relations, intentional interference with prospective economic relations, negligent interference with prospective economic relations, and conspiracy causes of action on the ground that each fails to state facts sufficient to state a cause of action.

Intentional Interference with Contractual Relations

To state a cause of action for intentional interference with contract, a plaintiff must allege " '(1) a valid contract between plaintiff and a third party; (2) defendant's knowledge of this contract; (3) defendant's intentional acts designed to induce a breach or disruption of the contractual relationship; (4) actual breach or disruption of the contractual relationship; and (5) resulting damage.' [Citations.]" (*Winchester Mystery House, LLC v. Global Asylum, Inc.* (2012) 210 Cal.App.4th 579, 596.)

The FAC alleges, "TheDefendants [*sic*] engaged in fraud, misrepresentation and other conduct, which ultimatley [*sic*] prevented performance and/or made performance of the contracts more expensive or difficult." (FAC, ¶ 143.) The FAC further alleges that Plaintiffs breached contracts with their customers for the sale of N95 masks because Robert Sigler misrepresented Sanctuary's capacity to produce N95-certifiable masks. (*Id.* at ¶¶ 23, 30.) As noted above, Plaintiffs' intentional misrepresentation claim still remains viable. Accordingly, these allegations are sufficient to survive a motion for judgment on the pleadings. (*Shea, supra*, 110 Cal.App.4th at p. 1254 [requiring liberal construction of the pleadings].)

The court DENIES Robert Sigler's motion for judgment on the pleadings as to the intentional interference with contractual relations.

Interference with Prospective Economic Relations

To plead a claim for intentional or negligent interference with prospective economic relations, a plaintiff must allege that the defendant engaged in an independently wrongful act. (*Korea Supply Co. v. Lockheed Martin Corp.* (2003) 29 Cal.4th 1134, 1158 (*Korea Supply*); *Ixchel Pharma, LLC v. Biogen, Inc.* (2020) 9 Cal.5th 1130, 1142.) Thus, "a plaintiff seeking to recover for an alleged interference with prospective contractual or economic relations must plead and prove as part of its case-in-chief that the defendant not only knowingly interfered with the plaintiff's expectancy, but engaged in conduct that was wrongful by some legal measure other than the fact of interference itself." (*Della Penna v. Toyota Motor Sales, U.S.A.* (1995) 11 Cal.4th 376, 393.)

The FAC alleges, "Defendants engaged in wrongful conduct through their breaches, negligence, representation, fraud, or violation of statute, which ultimatley [*sic*] interfered with ASG and CIASOM's prospective economic advantage." (FAC, ¶ 152.)

Robert Sigler contends that the FAC does not allege an independently wrongful act attributable to him. An act is independently wrongful if it is illegal—*e.g.*, proscribed by common law. (*Korea Supply, supra,* 29 Cal.4th at p. 1159.) Here, intentional misrepresentation and negligence causes of action remain viable against Robert Sigler. Thus, the motion for judgment on the pleadings cannot be granted on this basis. And while Robert Sigler argues that the FAC "lumps all eleven defendants together", he cites no authority requiring that interference with prospective economic relation claims be pled with particularity.

Robert Sigler also contends that his alleged misrepresentations did not "induce a breach or disruption" of Plaintiff's contract with Sanctuary. This argument ignores the allegation, which the court takes as true for this motion, that Plaintiff entered contracts with numerous third parties because of Robert's purported misrepresentations. (FAC, ¶¶ 22, 30, 141; see *Shea, supra,* 110 Cal.App.4th at p. 1254.)

The court DENIES Robert Sigler's motion for judgment on the pleadings as to the intentional and negligent interference with prospective economic relations claims.

Conspiracy

"To allege a conspiracy, a plaintiff must plead '(1) formation and operation of the conspiracy and (2) damage resulting to plaintiff (3) from a wrongful act done in furtherance of the common design.' [Citation.]" (*Daniels v. Select Portfolio Servicing, Inc.* (2016) 246 Cal.App.4th 1150, 1173 (*Daniels*), overruled on other grounds by *Sheen v. Wells Fargo Bank, N.A.* (2022) 12 Cal.5th 905, 919.) Conclusory allegations of conspiracy will not suffice. (*Daniels, supra,* 246 Cal.App.4th at p. 1173 [finding conspiracy allegations conclusory because no factual allegations about the nature of the agreement].)

The FAC alleges, "On information and belief, each of the Defendants agreed to conspire with one another to engage in the acts alleged herein including, but not limited to, fraud and conversion." (FAC, ¶ 156.) This allegation is insufficient to survive a motion for judgment on the pleadings. While a plaintiff may allege on information and belief any matter that is not within his or her personal knowledge, the plaintiff must allege information that supports the belief that the allegations are true. (*Doe v. City of Los Angeles* (2007) 42 Cal.4th 531, 550.) The court, however , is unable to infer the basis for the allegations made on information and belief from the other allegations made in the FAC or general context. (See *J.W. v. Watchtower Bible and Tract Society of New York, Inc.* (2018) 29 Cal.App.5th 1142, 1166.) The FAC fails to allege how each of the defendants the claim is brought against formed a conspiracy, committed wrongful acts in furtherance of the conspiracy, or how the conspiracy (rather than the individual acts) damaged Plaintiffs.

Furthermore, given the dispositions of the LINC Defendants and Sanctuary Defendants' respective motions for judgment on the pleadings, in addition to American Melt Blown & Filtration, Inc., there are no other defendants that Robert Sigler could have conspired with to engage in fraud, conversion, or any other of Plaintiffs' claims. (See *Daniels*, *supra,* 246 Cal.App.4th at p. 1173.)

The court GRANTS Robert Sigler's motion for judgment on the pleadings as to the conspiracy cause of action.

Disposition

The court DENIES Robert Sigler's motion for judgment on the pleadings as to the fourteenth, fifteenth, and sixteenth causes of action on the ground of the failure to state sufficient facts.

The court GRANTS Robert Sigler's motion for judgment on the pleadings as to the seventeenth cause of action without leave to amend. (See *Shaeffer v. Califia Farms, LLC* (2020) 44 Cal.App.5th 1125, 1145 [permitting leave to amend "only if a potentially effective amendment [is] both apparent and consistent with the plaintiff's theory of the case."]; see also *Goodman v. Kennedy* (1976) 18 Cal.3d 335, 349 [plaintiff has the burden of showing how the complaint may be amended, and how that amendment will change the legal effect of the pleading].)

The Court will prepare the Order.